

Income Tax Act, 2002

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Amending Acts

1. Some Nepal Laws Amendment Act, 2063
2. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 2066.10.07
3. Some Nepal Acts Amendment Act, 2072 2072.11.13
4. Finance Act, 2075 2075.03.32
5. Some Nepal Acts Amendment Act, 2075 2075.11.19
6. Finance Act, 2076 2076.03.30
7. Finance Act, 2077 2077.03.15
8. Finance Act, 2078 2078.06.13
9. Finance Act, 2079 2079.03.31
10. Finance Act, 2080 2080.03.31
11. Finance Act, 2081 2081.04.01
12. Finance Act, 2082 2082.03.30

Act No. 22 of the Year 2058

An Act Made to Amend and Consolidate Laws Relating to Income Tax

Preamble: Whereas, it is expedient to amend and consolidate laws relating to income tax and make them up-to-date by making the process of revenue collection effective for the economic development of the country and enhancing revenue mobilization;

Now, therefore, Parliament has enacted this Act in the first year of the reign of His Majesty King Gyanendra Bir Bikram Shah Dev. Chapter - 1

Preliminary

1. Short Title, Extent and Commencement: (1) This Act may be called the "Income Tax Act, 2058".
(2) This Act shall apply throughout Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. and shall also apply to a resident individual wherever residing outside Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066..
(3) This Act shall come into force immediately. 2.

Definitions: In this Act, unless the subject or context otherwise requires,- (a) "Person deducting tax at source"

means a person who has the duty to deduct tax at source under Chapter-17 while making payment of employment, investment return, service fee, and contract or agreement. (b) "Officer" means the Director General, Deputy Director General, Chief Tax Administrator, Director, Chief Tax Officer, Tax Officer and other officers as mentioned in Section 72 in the Department. (c) "Payment subject to final withholding tax" means dividend, rent, profit, interest, and payment liable to tax deduction made to a non-resident person as mentioned in Section 92. (d) "Pension Fund" means an entity established solely for the purpose of accepting retirement contribution amounts and investing such amounts for the purpose of providing retirement payments from the fund to a beneficiary natural person or his/her dependent. (e) "Retirement Payment" means a payment given to the following persons:- (1) Payment given to a natural person upon his/her retirement, or (2) Payment given to the dependent of a natural person upon his/her death. (f) "Retirement Contribution Amount" means a payment made to a pension fund for the arrangement of a retirement payment or for the future arrangement thereof. (g) "Incapacitated Person" means a person who is not capable of managing his/her own affairs due to physical or mental illness. Amended by Finance Act, 2075.(h) "Income" means income received by a person from employment, business, investment or casual gain, and the term also denotes the total amount of such income calculated in accordance with this Act.

Added by Finance Act, 2075.(h1) "Casual Gain" means gain received from lottery, gift, award, bounty, prize, or any other manner casually. (i) "Income Year" means the period from the first day of Shrawan of a year to the last day of Ashadh of the following year. (j) "Gift" means a payment without any consideration, or where a payment is with consideration, to the extent the market value of the payment exceeds the market value of the consideration. (k) "Debt Obligation" means an obligation equivalent to a debt claim. (l) "Debt Claim" means the right of one person to receive payment from another person, and the term also denotes the right of one person to recover an amount given to another person, deposits held in banks and financial institutions, receivables, debentures, bills of exchange, bonds, rights under annuities, the right to receive amounts from financial leases and installment sales. (m) "Company" means a company established in accordance with the prevailing company law, and for tax purposes, the following entities shall also be treated as a company:- (1) A body corporate established in accordance with prevailing law, (2) Any unincorporated association, committee, institution or society, or a group of persons other than registered or unregistered sole proprietorships and partnerships, or a trust, (3) A partnership firm, registered or not under prevailing law, having twenty or more partners, pension fund, cooperative institution, unit trust, joint venture, (4) A foreign company, (5) Any other foreign entity specified by the Director General. (n) "Tax" means tax leviable under this Act, and the term also denotes the following payments:- (1) Expenses mentioned in clause (a) of sub-section (8) of Section 104 incurred by the Department in respect of claims and auction sales of the property of a person in tax arrears, Amended by Finance Act, 2075.(2) Amount payable by a person deducting tax at source or a person whose tax is deducted under Section 90, or amount payable by a person depositing in installments under Section 94, or amount payable by a person required to deposit advance tax under Section 95k, or amount payable according to tax assessment made under Sections 99, 100 and 101, (3) Amount payable to the Department in relation to a third party's tax liability under sub-section (2) of Section 107, sub-section (3) or (4) of Section 108, sub-section (1) of Section 109, and sub-section (1) of Section 110, (4) Amount payable by way of fee and interest under Chapter-22, and (5) Penalty amount under Section 129 payable as ordered by the Department. (o) "Person Whose Tax is Deducted" means a person who receives payment or has the right to receive payment with tax deducted under Chapter-17 while making payment of employment, investment return, service fee, and contract or agreement. (p) "Tax Assessment" means tax assessment made under this Act, and the term also denotes the determination of fee and interest made under Section 122.

Provided that this term shall not denote the original tax assessment replaced by a revised tax assessment

under Section 101. Added by Finance Act, 2075.(p1) "Turnover" means total turnover equivalent to the total amount included under Section 7, 8 or 9 for the purpose of calculating income from employment, business or investment for an income year.

(q) "Non-resident Person" means a person other than a resident person. Amended by Finance Act, 2075.(r) "Non-business Chargeable Asset" means land, building, and an interest or security in any entity, excluding the following assets:-

- (1) Business asset, depreciable asset or trading stock,
- (2) A private building of a natural person in the following circumstances:-
 - (a) Continuously held in ownership for ten years or more, and
 - (b) Such person has resided therein, either continuously or intermittently, for a total of ten years or more,

Explanation: For the purpose of this clause, "private building" means the building, the land occupied by the building, and additional land equal to the area occupied by the building or one ropani of land, whichever is less.

- (3) An interest of a beneficiary in a pension fund,
- (4) Land, real estate and private building disposed of by a natural person for a value less than ten lakh rupees, or
- (5) Property disposed of by transfer in a manner other than purchase or sale within three generations.

Amended by Finance Act, 2078.(s) "Exempted Institution" means the following entities:-

- (1) The following entities registered with the Department as an exempted institution:-
 - (a) Public nature social, religious, educational or charitable institutions established for non-profit purposes,
 - (b) Amateur sports associations formed to promote social or sports facilities without benefit to members,
- (2) A political party registered with the Election Commission,

Provided that if any benefit is provided to any person from the assets of such institution or from amounts received by such institution, except when the activities of the exempted institution are completed according to its objectives or when making any payment for assets or services provided to such institution by any person, such institution shall not be entitled to tax exemption under this clause.

(t) "Trust" means an arrangement where a trustee holds property.

Provided that this term shall not denote a partnership, body corporate, or an institution mentioned under sub-clause (3) of clause (m).

(u) "Trustee" means a natural person, Guthi or other body corporate who/which holds property in trust, either alone or jointly with other natural persons, Guthis or other body corporates, and the term also denotes the following persons:-

- (1) Executor or administrator of the estate of a deceased person,
- (2) Liquidator, receiver or trustee,
- (3) Any person who, in a private or official capacity, is guardian, directing, controlling or managing the property of an incapacitated person,
- (4) Any person managing property under a private establishment or similar establishment, and
- (5) Any other person in a position similar to persons mentioned in sub-clauses (1), (2), (3) and (4).

(v) "Long-term Contract" means a contract under Section 26 where the term of the contract exceeds twelve months.

(w) "Relative" means husband, wife, son, daughter (including adopted son/daughter), father, mother, grandfather, grandmother, elder brother, younger brother, sister-in-law (bhaauju), daughter-in-law (buhari),

sister (didi/bahini), mother-in-law/father-in-law (saasu/sasura), wife's brother (sala), husband's elder brother (jethan), wife's sister (sali), husband's elder sister's mother (jethi saasu), uncle (kaka), aunt (kaki), nephew (bhatija), niece (bhatiji), grandson (nati) and granddaughter (natini).

(x) "Entity" means the following institutions or organizations:-

(1) Partnership, trust or company,

Deleted by Finance Act, 2062.?(2) District Coordination Committee,

Amended by Finance Act, 2075.?(3) Government of Nepal, Provincial Government or Local Level,

(4) Any foreign government or provincial or local government under that government, or a public international organization established by a treaty, or

(5) The permanent establishment of an institution or organization mentioned in sub-clauses (1), (2), (3) and

(4) Amended by Finance Act, 2075.?not located in the country where the person is resident.

(y) "Interest in an Entity" means a right, including a contingent right, to receive income or capital of an entity.

(z) "Disposal" means the sale or transfer, including disposal, of any asset or liability as mentioned in Section 40.

(aa) "Beneficial Ownership" means the following ownership:-

(1) In relation to an entity, ownership created on the basis of an interest held, directly or indirectly, through one or more intermediary entities, by a natural person or an entity where no natural person has an interest, in that entity, or

(2) In relation to property owned by an entity, the ownership of the property determined on the basis of the proportional ownership of persons who have beneficial ownership in such entity.

(ab) "Lease" means the temporary right of one person to use the property, other than cash assets, of another person, and the term also denotes a license, rental agreement, option, royalty agreement or lessee's right.

(ac) "Natural Person" means a specific natural person, and for the purpose of this Act, the term also denotes a sole proprietorship owned by a natural person, whether registered or not, and a couple who have opted under Section 50 to be treated as a single natural person.

(ad) "Payment for Natural Resources" means the amount of any of the following payments:-

Amended by Finance Act, 2075.?(1) Payment made for obtaining the right to extract water, minerals or other living or non-living resources from land, or

Amended by Finance Act, 2075.?(2) Amount calculated on the basis of the quantity or value of natural resources and minerals, living or non-living resources extracted wholly or partially from land.

(ae) "Market Value" means the ordinary transaction price of a service or asset in the ordinary course of market dealings between unrelated persons in respect of any asset or service.

Amended by Finance Act, 2075.?(af) "Rent" means all payments, including premiums, made under lease and rental of tangible assets including house rent. Provided that this term shall not denote a payment made for natural resources or amounts received by a natural person, other than a sole proprietorship, as house rent.

(ag) "Payment" means the following acts:-

(1) If the money or property of one person is transferred to the name of another person, and the liability of another person is transferred to the name of that person,

(2) If property created by one person comes into the ownership of another person after its creation, or if the burden of one person's liability is borne by another person,

- (3) If one person provides a service to another person,
- (4) If property owned by one person is used or made available for use by another person.

(ah) "Distribution of Profit" means the distribution of profit of an entity including the capitalization of profit under Section 53.

(ai) "Unit Trust" means a trust where a trustee holds property for the benefit of at least twenty persons, and the right of persons to participate in income or capital is divided on a basis determined by the number of units held. Amended by Finance Act, 2062.÷(aia) "Contribution-based Retirement Payment" means a payment which includes an amount deposited in an approved pension fund out of income included in the income of a natural person, and the amount accrued on such amount.

(aj) "Employment" means any kind of past, present or future employment.

(ak) "Royalty" means any payment made under a lease of an intangible asset, and the term also denotes any payment for the following purposes:-

- (1) Having the use or the right to use copyright, patent, design, model, plan, secret formula or process, or trademark,
- (2) Furnishing technical knowledge,
- (3) The use or the right to use cinematograph films, video tapes, sound recordings or any other similar medium, and using or furnishing industrial, commercial or Amended by Finance Act, 2075.?scientific experience,
- (4) Furnishing any assistance auxiliary to matters under sub-clause (1), (2) or (3), or
- (5) Agreeing to total or partial restrictions concerning matters under sub-clause (1), (2), (3) or (4). Provided that this term shall not denote a payment for natural resources. Amended by Finance Act, 2075.?(al)

"Investment" means the act of holding or investing in one or more assets, excluding the following:-

- (1) The act of holding property brought into personal use by the person owning the property,
- (2) Employment or business.

Provided that the act of holding a non-business chargeable asset shall be deemed as investment. (am) "Life Insurance" means any of the following insurances:- (1) Insurance effected in respect of an event related to the death of the insured person or a related person of the insured person, (2) Insurance related to an event of personal injury or specific incapacity of the insured person or his/her related person, Provided that the insurance contract must be for a term of at least five years or without a time limit, and cannot be terminated by the insurer before a period of five years except in specific circumstances mentioned in the contract, before any payment is made. (3) Insurance effected where an amount or series of amounts are to be paid to the insured in the future, (4) Reinsurance of insurance under sub-clause (1), (2) or (3), and (5) Reinsurance of reinsurance mentioned in sub-clause (4). (an) "Dividend" means a distribution from an entity. (ao) "Resident Person" means, in relation to an income year, the following persons:- (1) In the case of a natural person, (a) Whose ordinary place of abode is in Nepal, (b) Who Deleted by Finance Act, 2075. is present in Nepal for 183 days or more within a continuous period of 365 days, or (c) Who is deputed abroad by the Government of Nepal at any time during the income year. (2) A partnership firm, (3) In the case of a trust, a trust which,- (a) Is established in Nepal, (b) Whose trustee is a resident person during the income year, Added by Finance Act, 2075. or, (c) Is controlled, directly or through one or more interposed entities, by a resident person or a group of related persons during the income year. (4) In the case of a company, a company which,- (a) Is incorporated under the law of Nepal, Added by Finance Act, 2075. or, (b) Whose effective management is in Nepal during an income year.

Added by Finance Act, 2075.(4a) Government of Nepal or Provincial Government,

Added by Finance Act, 2075.(5) Rural Municipality, Municipality or District Coordination Committee,

(6) In the case of a foreign government or a provincial Added by Finance Act, 2075. or local government under that government, such entity which,-

(a) Is established under the law of Nepal, or

(b) Whose effective management of such entity is in Nepal during an income year.

(7) An institution or entity established under a treaty agreement, and

(8) A foreign permanent establishment of a non-resident person located in Nepal.

(ap) "Person" means a natural person or an entity.

(aq) "Manager" means a person involved in making managerial decisions of an entity, and the term also denotes the trustee of a trust and a person who has ownership in a foreign permanent establishment.

(ar) "Business" means any type of industry, trade, profession or similar nature of commercial transactions, and the term also denotes similar past, present or future businesses. Provided that this term shall not denote employment.

(as) "Interest" means the following payments or benefits:-

(1) Payment under a debt obligation excluding principal,

(2) Benefit obtained through discount, Amended by Finance Act, 2075. discount under a debt obligation, premium, swap payment or similar payments, and

(3) Amounts under Section 31 considered as interest in payments made to a person by a person acquiring property under an annuity or installment sale, or for the use of any property under a financial lease.

(at) "Trading Stock" means stock of property owned by a person to be sold in the course of a regular business operated by him/her, property in the course of progress, and materials to be incorporated into property, Deleted by Finance Act, 2075.. Provided that this term shall not denote property held in foreign currency.

(au) "Business Asset" means any asset used in a business. Provided that this term shall not denote trading stock or a depreciable asset of the business.

(av) "Distribution" means a distribution from an entity as mentioned in Section 53.

Added by Finance Act, 2075.(ava) "Electronic Medium" means computer, fax, email, internet, electronic cash machine, fiscal printer, and the term also denotes other approved means specified by the Department. (aw)

"Income Remitted Abroad" means income required to be remitted abroad by a foreign permanent establishment of a non-resident person located in Nepal under Section 68, which has been remitted abroad through a bank or paid in any other manner. (ax) "Foreign Income Tax" means foreign income tax imposed by a foreign country as mentioned in sub-section (8) of Section 69, and the term also denotes a final withholding tax imposed by a foreign country. (ay) "Foreign Permanent Establishment" means an entity under

Amended by Finance Act, 2075. sub-clause (5) of clause (x). (az) "Department" means the Inland Revenue Department. (ba) "Foreign Currency Asset" means an asset held in foreign currency other than Nepalese Rupees. (bb) "Permanent Establishment" means a place of business through which a person carries on business wholly or partially, and the term also denotes the following places:- (1) A place where a person carries on business wholly or partially through an agent, other than a general agent acting in an independent capacity in the ordinary course of business, (2) A place where the main equipment or main machinery of a person is located or used or installed, (3) One or more places in a country where a person, through

employees or otherwise, provides technical, professional or consultancy services for more than ninety days, at once or intermittently, within any twelve-month period, or (4) A place where a person is engaged in a construction, installation or establishment project for ninety days or more, and a place where activities related to the supervision of such project are carried out.

Deleted by Finance Act, 2082.(5)

(bc) "Asset" means any kind of tangible or intangible asset, and the term also denotes currency, goodwill, technical knowledge, estate, ownership or interest in a foreign branch of a person, the right to earn or receive income in the future, and any part of any such asset.

(bd) "Related Person" means one or more persons or a group of such persons who act according to the intention of another person, and the term also denotes the following persons:-

- (1) A natural person and his/her relative or any person or his/her partner,
- (2) A foreign permanent establishment and the person having ownership in such establishment, and
- (3) An entity which, by itself or together with another related person or associate entity or any other person or entity related to such associate entity, controls or benefits from fifty percent or more of the income, capital or voting rights of an entity. Provided that the following persons shall not be related persons:-

- (1) Employees,
- (2) Persons specified by the Department as not being related persons. Added by Finance Act, 2075.(bda) "Adjusted Taxable Income" means taxable income calculated for an income year of a person without deducting any amount under Sections 12 Added by Finance Act, 2080., 12a, 12b and 12g, and without deducting under sub-section (2) of Section 14, Section 17 or Section 18, while calculating the taxable income.

(be) "Partnership" means a firm having less than twenty partners, whether registered under prevailing law or not. Provided that this term shall not denote a registered or unregistered sole proprietorship or joint venture.

(bf) "General Insurance" means insurance other than life insurance.

(bg) "General Interest Rate" means an interest rate of fifteen percent per annum.

(bh) "Approved Pension Fund" means a pension fund which has obtained approval from the Department under sub-section (1) of Section 63.

(bi) "Service Fee" means any fee paid to a person at market value for a service provided by him/her, and the term denotes Deleted by Finance Act, 2078. meeting allowance, management fee or technical service fee as well.

(bj) "Shareholder" means a beneficial owner of a company.

(bk) "Depreciable Asset" means an asset used in a business or investment for earning income, whose value depreciates due to breakage, obsolescence or efflux of time. Provided that this term shall not denote trading stock.

(bl) "Beneficiary" means a person having an interest under clause (y) Amended by Finance Act, 2075. in an entity.

(bm) "Prescribed" or "As Prescribed" means prescribed or as prescribed in the rules made under this Act.

Chapter-2

Basis of Taxation

3.

Charge of Tax: Tax under this Act shall be levied and collected on each of the following persons for each income year:- (a) A person having taxable income in an income year, (b) A foreign permanent establishment located in Nepal of a non-resident person which, under sub-sections (3) and (4) of Section 68, remits income abroad in an income year, and (c) A person receiving payment subject to final withholding tax in an income year.

3a. 4. Computation of Tax and Rate of Tax: Amended by Finance Act, 2075.(1) The amount of tax payable by a person mentioned in Section 3 for an income year shall be equal to the total amount of tax payable by that person in the capacity of one or more persons mentioned in clauses (a), (b) and (c) of that Section. (2) In computing the tax payable by a person under clause (a) of Section 3, the applicable rates mentioned in Schedule-1 shall be applied to the taxable income of that person for that income year.

In computing tax in this manner, any tax credit claimed by that person under Section 51 or 71 Added by Finance Act, 2075. or both Sections shall be deducted.

(3) Notwithstanding anything written in sub-section (2), the tax payable by a resident natural person under clause (a) of Section 3 who fulfills all the following conditions shall be equal to the total amount of tax deducted under Section 87 from payments made by the employer to such resident natural person in that income year:-

- (a) The income for that income year includes only income from employment sourced in Nepal,
- (b) All employers in that income year are resident persons and there is only one employer at a time, and
- (c) The person has claimed deduction only for medical treatment expenses paid by the employer and retirement contributions paid by the employer, and has not claimed deduction for charitable expenses under Section 12.

(4) Notwithstanding anything written in sub-section (2), the tax payable in an income year by a resident natural person under clause (a) of Section 3 who fulfills all the following conditions shall be equal to the amount mentioned in sub-section (7) of Section 1 of Schedule-1:-

- (a) In that income year, the person has only income from business sourced in Nepal,
- (7a) The person has not claimed tax credit under Section 51 for medical treatment expenses and under Section 93 for tax deducted at source,
Amended by Finance Act, 2078.(b) Taxable income from business is up to three hundred thousand rupees and business turnover does not exceed thirty million rupees,
- (c) Deleted by Finance Act, 2078
- (d) Deleted by Finance Act, 2078

(74a) Notwithstanding anything written in sub-section (2), the tax payable in an income year by a resident natural person under clause (a) of Section 3 who fulfills the following conditions on the basis of turnover shall be equal to the amount calculated according to the rate specified in sub-section (17) of Section 1 of Schedule-1:-

- (a) In that income year, the person has only income from business sourced in Nepal,
Amended by Finance Act, 2080.(b) Taxable income from business is up to ten lakh rupees and business turnover is more than thirty lakh rupees Amended by Finance Act, 2080.and up to one crore rupees,
- (c) Deleted by Finance Act, 2075
- (d) The income is not from consultancy and specialist services provided by natural persons including doctors, engineers, auditors, legal practitioners, players, artists, consultants.

Added by Finance Act, 2082.(4k) "Notwithstanding anything written in sub-sections (4) and (4a)", the person

must have opted for this provision to apply for that income year.

(5) In computing the tax payable by a foreign permanent establishment under clause (b) of Section 3, the rate mentioned in sub-section (6) of Section 2 of Schedule-1 shall be applied to the income remitted abroad by such establishment in that income year.

(6) The tax payable by a person under clause (c) of Section 3 shall be equal to the total amount calculated by applying the rates mentioned in Amended by Finance Act, 2075. Sections 87, 88, 88a. and 89 to each payment subject to final withholding tax received by such person in that income year.

5. Taxable Income and Classification of Heads of Income: The taxable income of a person for an income year shall be equal to the amount calculated by deducting from the total aggregate amount of assessable income under each of the following heads of income for that year any amount claimed under Amended by Finance Act, 2080. Sections 12, 12a., 12b., 12g., 63 or all of these:-

(a) Business,

(b) Employment, Deleted by Finance Act, 2075

Amended by Finance Act, 2075. (c) Investment, and

Added by Finance Act, 2075. (d) Casual Gain.

6. Assessable Income: Subject to this Act, the following income of a person from any employment, business, investment or casual gain for an income year shall be deemed as assessable income:-

(a) Income from employment, business, investment or casual gain of a resident person, wherever the source of income may be, and

(b) Income from employment, business, investment or casual gain of a non-resident person, where the source of income is in Nepal. Provided that any income exempted under Section 11 or 64 or both Sections shall not be included in assessable income.

Chapter-3 Computation of Income

7. Computation of Income from Business: (1) The profits and gains of a person from carrying on a business in an income year shall be the income of that person from that business for that year.

Amended by Finance Act, 2075. (2) In computing the profits and gains of a person from carrying on a business in an income year, the following amounts received by that person within that year shall be included in the computation:- (a) Service fees, (b) Amount from disposal of trading stock, (c) Net gain from the disposal of a business asset or business liability of a person calculated under Chapter-8, (d) Amount deemed to have been received under clause (a) of sub-section (2) of Section 4 of Schedule-2 from the disposal of a depreciable asset of the business, (e) Gift received from any person in relation to the business, (f) Amount received for accepting any restriction in connection with carrying on the business, (g) Amount received by a person which, although of a nature to be included in income from investment, is received in direct connection with his/her business, and (h) Other amounts required to be included under Chapter-6 or 7 or Section 56 or 60. (3) Notwithstanding anything written in sub-section (2), amounts exempt under Sections 10, 54 and 69 and payments subject to final withholding tax shall not be required to be included in computing the profits and gains from carrying on a business.

8. Computation of Income from Employment: (1) The remuneration received by a natural person from employment in an income year shall be deemed as the employment income of that person for that year and shall be computed accordingly. (2) The following payments given by an employer to a natural person in an income year shall be included in computing the remuneration from employment of such natural person for that income year:- (a) Wages, salary, leave pay, overtime pay, fees, commission, award, gift, bonus and

Exempt Amounts: Tax shall be exempt on the following amounts:-

(a) Amount of tax exemption received by any person entitled to tax exemption facility as mentioned in a bilateral or multilateral treaty or agreement Amended by Finance Act, 2075. made between the Government of Nepal and any foreign state or international organization,

(b) Amount received by a natural person for employment in the government service of a foreign state, Provided that,

(1) Such person must be a resident or non-resident solely by reason of such employment, and

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person carrying on business of exploration and extraction of minerals, Amended by the Finance Act, 2077.
petroleum products, natural gas and fuel, who commences commercial operation up to the month of Chaitra
of the year 2080, shall receive full income tax exemption for the first seven years from the date of
commencement of operation, and fifty percent income tax exemption for the subsequent three years. (??)
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??? ???? ? ? ???? ???? ? ???? ? ?(?) There shall be a seventy-five percent
exemption on the tax leviable on the income of industries related to operation of zoological, geological,
biotech parks, technology parks, and software development, data processing, cyber cafes, digital mapping
established within information technology parks, as specified by the Government of Nepal by publishing a
notice in the Nepal Gazette, Amended by the Finance Act, 2077. Amended by the Finance Act, 2082. ?????
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???? : Added by the Finance Act, 2078.(?) A person carrying on commercial business of electricity shall
be entitled to tax exemption as follows: (?) ????? ?, ??? ???? ? ???? ???? ?
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Amended by the Finance Act, 2080.

Provided that, in the case of reservoir and semi-reservoir hydropower projects above forty megawatts whose financial closure is completed up to the month of Chaitra of the year 2085, and lower riparian hydropower projects operated in tandem with those projects, there shall be full income tax exemption for the first fifteen years and fifty percent income tax exemption for the subsequent six years.

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 ????? ?????? ? (?) Notwithstanding anything contained in clause (?), in the case of a person who has already
 obtained a license and commenced commercial production at the time of commencement of this subsection,
 the provision in force at the time of obtaining the license shall continue to apply.

?(??) ?????? ??????? ???? ?? ?????? ?????? ??, ??? ???? ???? ? ? ????????? ???? ????
 ????? ?????? ?? ??? ?????;-

?(?) On income derived from export in any income year from sources within Nepal, tax exemption shall be as follows: Amended by the Finance Act. 2081.

(?) ???????? ?????????? ?????????? ???? ??? ?????????? ???? ?? ??????? ???? ??? ?? ????? ???????
 ????????? ? ??? ????????????? ????? ?? ??????? ????? ??? ?? ????? ?????? ?????????.

(?) If the income of a resident natural person is subject to tax at the rate of twenty percent, then twenty-five percent of such tax, and if the income is subject to tax at the rates of thirty percent, then fifty percent of such tax.

(?) ??????? ????? ?????? ????? ??? ????????,

(?) Twenty percent of the tax leviable on the income of an entity.

?????? ??, ???? ?????? ??????? ? (?) ?????? ??????? ???????????, ??????? ??????????????, ?????? ?????????????? ??????? ?????? ?????????????? ??????? ?????? ?????? ??, ???? ??????? ??????? ? ??????? ??? ?? ?????? ??????? ?????? ?????? ??????? ?????????????? ??????? ?????? ?????? ? ?? ?????? ??????? ?????????? ??????? ?????? ?????? ??????? ??????? ?????? ?????? ?????????? ? Amended by the Finance Act, 2081.(?) If a person exports information technology-based services including business process outsourcing, software programming, cloud computing Amended by the Finance Act, 2081. and earns foreign currency therefor, fifty percent of the tax leviable on the income received in foreign currency up to fiscal year 2084/85.

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Amended by the Finance Act, 2077.(??) An entity performing the following activities shall be entitled to the following exemptions on the tax leviable for ten years from the date of commencement of commercial operation on the income derived therefrom:-

(?) ?????? ?? ?????? ?? ?????????? ?????? ?????? ?????????,

(?) Forty percent in case of operating a tram or trolley bus,

(?) ??????, ?????????, ?????? ??? ?????????? ??? ?????????? ?????? ?????? ?????????,

(?) Forty percent in case of constructing and operating ropeways, cable cars, sky bridges,

(?) ???, ???, ????????? ??????, ?????, ??????, ??????????? ?????????? ??? ?????????? ?????? ?????? ????????? ? (?) Fifty percent in case of constructing and operating roads, bridges, tunnels, railways, airports.

?(?) ?????????? ??????? ?????????? ?????? ???????????????, ??????? ?????, ??????????? ?????????, ?????? ??? ??????????????? ?????? ? ??? ?? ?? ?????? (??) ?? ??????? ?????? ??????????????? ??????? ?????? ?????? ?????????????? ??? ?????? ? (??) There shall be a fifteen percent exemption on the tax leviable on entities listed on the securities market which are engaged in manufacturing, tourism services, hydropower generation, distribution and transmission, and entities mentioned in subsection (3g) of section 11.

?????? ??, ???? ??????? ?????????? ? (??) ??? ?????????? ?????????? ? ?????????? ?????????????? ?????????? ?????????? ?????????? ??????? ??? ?????? ?????????? ?????? ?????????????? ?????????? ?????? ?????? ??????? ?? ?????????? ??????? ?????? ? ??????? ?????????? ?????? ??? ?????? ? Amended by the Finance Act, 2077.(??) Industries established in least developed areas and underdeveloped areas producing fruit-based brandy, cider and wine shall be entitled to income tax exemption of forty percent and twenty-five percent respectively for ten years from the date of commencement of operation.

?(?) ?????? ?????????????? ?????????? ?????????? ??????? ??, ???? ??????? ?????????? ? ?????????? ?????? ?????????? ?????????? ?????? ?????????? ??????? ?????? ?????? ?????????????? ??? ?????? ? (??) There shall be a twenty-five percent exemption on the rate of income tax leviable on royalty income received by a person from export of intellectual property, Amended by the Finance Act, 2081.

?(?) ?????? ?????????????? ?????????? ?????????????????? ?????????? ??? ?????????? ?????? ?????? ?????? ?????????? ?????? ?????? ?????? ?????? ? (??) There shall be a fifty percent exemption on the rate of income tax leviable on income derived by a person from sale by transfer of intellectual property.

?????? ??, ???? ??????? ?? ? (??) ??????? ?????????????? ?????????? ??????? ?? ?????????????????????? ?????? ?????????? ?????? ?????? ?????? ?????? ?????? ?????? ??????:-

Added by the Finance Act, 2075. Industries related to the tourism sector or airline companies operating international flights shall be entitled to tax exemption as follows:-

For those established with a capital investment of more than one billion rupees, there shall be full exemption for five years from the date of commencement of operation, and a fifty percent exemption on the rate of income tax leviable for the subsequent three years.

For those established with a capital investment of more than three billion rupees, there shall be full exemption for ten years from the date of commencement of operation, and a fifty percent exemption on the rate of income tax leviable for the subsequent five years.

For those established with a capital investment of more than five billion rupees, there shall be full exemption for fifteen years from the date of commencement of operation.

Deleted by the Finance Act, 2075

Amended by the Finance Act, 2081.

Where a special industry, information technology industry and industry related to the tourism sector capitalizes its retained profits into shares for the expansion of the capacity of the same industry, there shall be one hundred percent exemption on the dividend tax leviable on such capitalization as dividend distribution.

Deleted by the Finance Act, 2082

If a company operating as a private company with a paid-up capital of fifty crore rupees or more is converted into a public company and carries on business, there shall be a ten percent exemption on the tax leviable for three years from the date of such conversion into a public company.

Provided that, a company which is required to be established as a public company under section 12 of the Companies Act, 2063 shall not be entitled to the facility under this subsection.

There shall be a fifty percent exemption on the rate of income tax leviable on income derived from the sale of their products by industries engaged in domestic tea production and processing, dairy industries dealing in milk products, and industries producing textiles.

29. There shall be a twenty percent exemption on the tax leviable on the taxable income of health institutions operated by community organizations.

30. A micro enterprise shall be fully exempt from income tax leviable for seven years from the date of commencement of business or operation, Added by the Finance Act, 2075.

If such a micro enterprise is operated by a female entrepreneur, there shall be full exemption from income tax for an additional three years, Amended by the Finance Act, 2077.

31. If in any income year an entity constructs and operates public infrastructure structures and transfers them to the Government of Nepal, and constructs, generates and transmits power houses, such entity shall be entitled to a twenty percent exemption on the tax leviable on its taxable income.

32. A special industry established or relocated and operating in an industrial area or industrial village shall be entitled to a fifty percent exemption on the tax leviable for three years from the date of commencement of production, and a twenty-five percent exemption for the subsequent five years.

33. There shall be a twenty percent exemption on the tax le

(3) Notwithstanding anything contained in sub-section (2), for the purposes of that sub-section, a person may use the average exchange rate specified by the Department for that income year, provided that the Department has issued a notice in writing and granted permission. Amended by the Finance Act, 2075.29. Indirect payment: Where a person indirectly benefits from a payment made by the payor or a person related to the payor, or where another person is designated to receive the payment, the Department may, by issuing a notice in writing, treat the person who so benefits or who designates such other person as the recipient of that payment. 30. Jointly owned investment: For the purpose of calculating income derived by a person from an investment jointly owned with another person, the amounts to be included or deducted in calculating the income shall be apportioned on the basis of the proportionate share of each joint owner in that investment. 31.

Characterization of compensation payments: Where a person or a person related to that person receives any compensation amount, including insurance payments, in respect of the following matters, such compensation amount shall, at the time of receipt, be included in calculating income from employment, business, or investment, as the case may be:- (a) compensation for any income that the person has received or may receive from any business, employment, or investment, or for any amount included in the calculation of such

income; or (b) compensation for any loss incurred or likely to be incurred by the person in any business or investment, or for any expenditure amount deductible in calculating the person's income. (1) Compensation payment received for physical injury from a personal accident of a resident natural person shall not be included in income, and no tax credit shall be claimed under section 51 for expenses incurred in the treatment of such injury. (2) Compensation amount received upon the death of a natural person shall not be included in income. 32. Characterization of payments under annuities, installment sales, and financial leases: (1) A payment made to a person under an annuity or installment sale by the person acquiring the property, or for the use of any property under a financial lease, shall be treated as consisting of an interest component and a capital repayment component under a debt claim in accordance with this section. (2) All payments under sub-section (1) shall be aggregated and the total sum thereof shall be divided into two parts as follows:- (a) a capital part equal to the market value of the property at the time of granting the annuity, the installment sale of any property, or the leasing under a financial lease, as the case may be; and (b) an interest part being the remainder after deducting the capital part from the total sum of all payments under sub-section (1). (3) At the time of granting the annuity, installment sale, or financial lease Deleted by the Finance Act, 2075., when determining the installments, the capital part and the interest part shall be clearly separated, and a total payment schedule shall be provided.

If such a schedule cannot be provided, the interest and capital parts shall be apportioned among the payments under sub-section (1) by treating the annuity, installment sale, or financial lease as a mixed debt with interest being compounded semi-annually.

(4) For payments under sub-section (1) treated as a mixed debt, the debtor shall pay, at the time of each payment, an interest portion calculated on the outstanding principal (capital) balance, with the interest rate remaining constant throughout the term of the debt, and the debtor shall partially repay the principal and partially pay the interest.

(5) For a financial lease under this section, the following conditions must be fulfilled:-

(a) The lease agreement provides for the transfer of ownership upon expiry of the lease term or grants the lessee an option to purchase the property at a fixed or predetermined price after the lease term ends;

(b) The lease term exceeds seventy-five percent of the useful life of the property;

(c) The estimated market value of the property after the expiry of the lease term is less than twenty percent of the market value of the property at the commencement of the lease;

(d) For a lease commencing before the last twenty-five percent of the useful life of the property, the present value of the minimum lease payments at the commencement of the lease term is equal to or greater than ninety percent of the market value of the property at that time; or

(e) The property is specially designed for the lessee and, after the expiry of the lease term, is not practically usable by any person other than the lessee.

(6) Each payment under sub-section (1) shall be divided into two parts under sub-section (3), and the interest part shall be treated as interest paid or payable under a debt claim, and the capital part shall be treated as a repayment of capital.

(7) The lessee under a financial lease shall be treated as the owner of the leased property, and the lessor shall be treated as having a debt claim against the lessee.

(8) The present value of lease payments shall be calculated using a discount rate equal to the normal interest rate. Explanation: For the purposes of this section, "lease term" shall also include any additional period for which the lessee has the option to renew the lease. 33.

Transfer pricing and other arrangements between related persons Amended by the Finance Act, 2062.: (1) Where an arrangement exists between related persons, the Department may, by issuing a notice in writing,

distribute, allocate, or apportion amounts to be included or deducted in calculating the income of those persons in such a manner as to reflect the taxable income or tax payable that would have arisen for them if the arrangement had been conducted on an arm's length basis. (2) In doing anything under sub-section (1), the Department may:- (a) recharacterize the source and nature of any income, loss, amount, or payment; or (b) where a person incurs various expenses, including head office expenses, for operating a business from which related person or persons benefit, apportion such expenses among the related persons on a comparative turnover basis. Added by the Finance Act, 2081.(3) The method for evaluating transfer pricing between related persons under this section shall be as determined by the Department. 34. Splitting of income: (1) Where a person attempts to split income with another person, and it appears that this results in a reduction of the tax payable, the Department may, by issuing a notice in writing, adjust the amounts to be included or deducted in calculating the income of each person to prevent the reduction of liability. (2) The situations referred to in sub-section (1) shall also include cases where a person, directly or indirectly through one or more intermediaries, attempts to split income with a related person by transferring the following amounts, and the purpose of such transfer is to reduce the tax payable by that person or the related person:- (a) amounts to be received or expenses to be incurred; or (b) amounts received or consumed by the person to whom any property is transferred, or expenses incurred or payments made by that person in respect of ownership of such property. (3) In determining whether a person has attempted to split income under sub-section (2), the Department shall use the market value of any payment made for the transfer. 35. General anti-avoidance rule: For the purpose of determining tax liability under this Act, the Department may:- (a) recharacterize any arrangement or part of an arrangement that is or has been entered into as part of a tax avoidance scheme; (b) disregard any arrangement or part of an arrangement that has no substantial economic effect; or (c) recharacterize any arrangement or part of an arrangement that lacks substance.

Explanation: For the purposes of this section, "tax avoidance scheme" means any arrangement whose main purpose is to obtain exemption from tax liability or to reduce tax liability. Chapter 8

Determination of Net Gain from Assets and Liabilities

36. Net gain from assets and liabilities: (1) For any income year, the net gain from the disposal of business assets or liabilities of a business of a person shall be calculated by deducting the following losses from the total of all gains from the disposal of business assets or liabilities of that business in that income year:-

- (a) the total of all losses incurred in that year from the disposal of business assets or liabilities of the business;
- (b) losses, to the extent not otherwise deducted, from the net loss incurred in that year from any other business of that person; and
- (c) losses, to the extent not otherwise deducted, from the net loss incurred in previous years from that business or any other business of that person.

(2) For any income year, the net gain from the disposal of taxable non-business assets of an investment of a person shall be calculated by deducting the following losses from the total of all gains from the disposal of taxable non-business assets of that investment in that income year:-

- (a) the total of all losses incurred in that year from the disposal of taxable non-business assets of that investment;
- (b) losses, to the extent not otherwise deducted, from the net loss incurred in that year from any other business or investment of that person; and
- (c) losses, to the extent not otherwise deducted, from the net loss incurred in any previous income year from that investment, any business, or any other investment of that person.

(3) In respect of losses from the disposal of foreign source assets or liabilities, a person may claim a deduction under sub-section (1) or (2) only to the extent of gains from the disposal of foreign source assets or liabilities.

(4) Where a person may deduct a net loss incurred from a business or investment under more than one calculation under sub-section (1) or (2), that person may choose the calculation or calculations for the purpose of deducting that loss or a part thereof.

Explanation: For the purposes of this section,-

(1) "net loss" means:-

(a) in relation to a business, the amount by which the losses from the disposal of business assets or liabilities of that business in an income year exceed the gains from the disposal of business assets or liabilities of that business in that year; and

(b) in relation to an investment, the amount by which the losses from the disposal of taxable non-business assets of that investment in an income year exceed the gains from the disposal of taxable non-business assets of that investment in that year.

(2) "undeducted net loss" means, in relation to a business or investment,-

(a) the portion of the net loss of that business or investment for an income year that has not been deducted under clause (b) or (c) of sub-section (1) or clause (b) or (c) of sub-section (2); and

(b) any undeducted loss of that business or investment under sub-section (7) of that section that cannot be waived due to the time limit under sub-section (1) or (2) of section 20. 37. Gain and loss from assets and liabilities: (1) The gain of a person from the disposal of any asset or liability shall be calculated as the amount by which the total of the receipts in respect of that asset or liability exceeds the total of the outgoings in respect of that asset or liability at the time of disposal.

(2) The loss of a person from the disposal of any asset or liability shall be calculated as the amount by which the total of the outgoings in respect of that asset or liability exceeds the total of the receipts in respect of that asset or liability at the time of disposal. 38.

Outgoings and net outgoings in respect of assets and liabilities: (1) Subject to this Act, the outgoings of a person in respect of an asset or liability shall include the following:- (a) in relation to an asset, outgoings incurred by that person in acquiring the asset, including:- (1) the relevant cost of constructing or producing the asset; and Amended by the Finance Act, 2075.(2) any amount that is required to be included in calculating the income of that person by reason of the acquisition of such asset. (b) outgoings incurred by that person in holding the asset or liability, including outgoings for alteration, improvement, and maintenance of the asset or liability, and in the case of an asset, outgoings for its maintenance; (c) outgoings incurred by that person in disposing of the asset or liability; and (d) incidental outgoings incurred by that person in acquiring the asset or incurring the liability and in disposing of such asset or liability. Provided that such outgoings shall not include outgoings under clauses (a), (b), (c), (d), and (e) of sub-section (1) of section 21 and outgoings to the extent they are deductible in determining income. (2) At any particular time, the net outgoings in respect of an asset or liability shall be calculated as the amount by which the total of all outgoings in respect of that asset or liability exceeds the total of all receipts in respect of that asset or liability at that time. (3) Amounts deductible in calculating income under Chapters 6 and 7, when referring to outgoing amounts in respect of any asset or liability, shall be treated as being applicable to outgoings under sub-section (1), provided that section 26 shall not apply in relation to the above provision. 39. Receipts and net receipts in respect of assets and liabilities: (1) Subject to this Act, the receipts of a person in respect of an asset or liability shall include the following amounts:- (a) amounts received by that person in respect of a liability when incurring the liability; (b) amounts to be received by that person in respect of acquiring an asset

or incurring a liability, including amounts received by way of change or reduction in the value of an asset or increase in a liability; and (c) amounts received or to be received by that person in respect of the disposal of such asset or liability.

Provided that such receipts shall not include tax-exempt amounts, finally deductible Amended by the Finance Act, 2075. payments, or amounts included in income when determining the income of that person.

(2) At any particular time, the net receipts in respect of an asset or liability shall be calculated as the amount by which the total of the receipts in respect of that asset or liability exceeds the total of the outgoings in respect of that asset or liability at that time.

(3) Amounts included in income when calculating income under Chapters 6 and 7, when referring to receipt amounts in respect of any asset or liability, shall be treated as being applicable to receipts under sub-section (1), provided that section 26 shall not apply in relation to the above provision. 40. Disposal of asset or liability:

(1) If a person ceases to be the owner of an asset, that person shall be deemed to have disposed of that asset. The disposal of an asset shall include acts such as distribution of the asset by the owner, merging the asset into another asset or liability, selling by installment or through a financial lease to another person, cancellation, destruction, loss, expiry, or surrender.

(2) If a person is released from a liability, that person shall be deemed to have disposed of that liability.

The disposal of a liability shall include acts such as settlement, cancellation, discharge, termination, or merging of the liability into another liability or asset.

(3) Notwithstanding anything contained in sub-sections (1) and (2), a person shall be deemed to have disposed of an asset or liability in the following circumstances:-

(a) in the case of a natural person, immediately before the death of that person;

(b) in the case of an asset, when the total of the receipts in respect of that asset exceeds the total of the outgoings in respect of that asset;

(c) in the case of a debt claim,-

(1) in the case of a debt claim of a bank or financial institution, when it becomes a bad debt according to specified criteria; and

(2) in any other case, when that person reasonably believes that the debt claim is irrecoverable, provided that such person has exhausted all appropriate measures to recover the debt claim.

(d) in the case where a person begins to use a business asset, non-business taxable asset, depreciable asset, or trading stock in a manner that changes its character, immediately before such changed use;

(e) in the case of an entity, the circumstances under section 57; and

(f) in the case of a person other than land or buildings situated in Nepal, immediately before that person becomes a non-resident person.

(4) Where a person disposes of an asset under a financial lease as per sub-section (1), the person to whom the asset is leased shall be deemed to have acquired ownership of that asset at the time of disposal.

(5) For the purpose of calculating the gain of a person from the disposal of assets and liabilities, the following shall apply:-

(a) The amount of net outgoings in respect of any asset owned by that person at the commencement of this Act shall be deemed equal to the prevailing market value of that asset at that time.

(b) The net receipts in respect of a liability of a person at the commencement of this Act shall be deemed equal to the amount according to the prevailing market value of that liability at that time. 41.

Disposal with retention of asset or liability: Where a person disposes of any asset or liability in any of the ways mentioned in clauses (c), (d), (e), and (f) of sub-section (3) of section 40, the following shall apply:- (a)

in the case of an asset,- (1) that person shall be deemed to have received an amount equal to the market value of that asset at the time of disposal for the disposal; and Amended by the Finance Act, 2075.(2) upon a subsequent disposal of such asset, the net outgoings made in respect of that asset up to the time of disposal under this section shall be deemed equal to the amount of receipt. (b) in the case of a liability,- (1) that person shall be deemed to have incurred an expense equal to the market value of that liability at the time of disposal for that disposal; and Amended by the Finance Act, 2075.(2) upon a subsequent disposal of such liability, the net receipts in respect of the liability under sub-clause (1) up to the time of disposal under this section shall be deemed equal to the expense amount. 42. Disposal by way of installment sale or financial lease: Where a person disposes of any asset to another person by way of installment sale or under a financial lease, the following shall apply:- (a) the person disposing of the asset shall be deemed to have received an amount equal to the market value of that asset at the time of disposal from that disposal; and (b) the person acquiring the asset from the disposal shall be deemed to have incurred a cost equal to the amount under clause (a). Provided that this provision shall not apply where the provision of section 45 applies. 43. Transfer of assets to spouse or former spouse: Where a natural person who is separated by divorce or partition transfers an asset to that person's spouse or former spouse, thereby disposing of the asset, and if the spouse or former spouse makes a written election to have this section apply, the following shall apply:- (a) that person shall be deemed to have received an amount equal to the net outgoings in respect of that asset immediately before the disposal for that disposal; and (b) the person acquiring the asset by transfer shall be deemed to have incurred a cost equal to the amount under clause (a). 44.

Provided that this provision shall not apply where the provisions of sections 43 and 44 apply. Added by the Finance Act, 2075.7(ga) In the case of an asset transferred pursuant to sub-clause (5) of clause (da) of section 2 of the Act, the cost of the transferor shall be deemed to be the cost of the person acquiring the asset by transfer.

(2) Notwithstanding anything contained in sub-section (1), where a person disposes of the ownership of an asset in the form of a business asset, non-business taxable asset Amended by the Finance Act, 2075., or trading stock by transfer to a related person, and the conditions under sub-section (6) are fulfilled, the following shall apply:-

(a) that person shall be deemed to have received an amount equal to the net outgoings in respect of that asset immediately before the disposal for that disposal; and

(b) the person acquiring the asset by transfer shall be deemed to have incurred a cost equal to the amount mentioned in clause (a).

(3) Notwithstanding anything contained in sub-section (1), where a person disposes of the ownership of a depreciable asset by transfer to a related person upon fulfilling the conditions under sub-section (6), or if such asset belongs to any group of such depreciable assets, the following shall apply:-

(a) that person shall be deemed to have received an amount equal to the residual value of the declining balance of that group under section 4 of Schedule 2 at the time of disposal for that disposal; and

(b) the person acquiring the asset by transfer shall be deemed to have incurred a cost equal to the amount mentioned in clause (a).

(4) Where a person disposes of a liability by transferring it to a related person or by transferring it to any other person without any consideration Amended by the Finance Act, 2075., the following shall apply:-

(a) that person shall be deemed to have incurred a cost for that disposal equal to the lower of the market value or the net receipts in respect of that liability immediately before the disposal; and

(b) the person to whom the liability is transferred shall be deemed to have received an amount equal to that liability in respect of assuming the liability.

Provided that this provision shall not apply where the provisions of sections 43 and 44 apply.

(5) Where a person disposes of a liability incurred in earning income from any of that person's businesses by transferring it to a related person upon fulfilling the conditions under sub-section (6), the following shall apply:-

(a) that person shall be deemed to have incurred a cost for that disposal equal to the net receipts in respect of that liability immediately before the disposal; and

(b) the related person shall be deemed to have received an amount equal to that amount in respect of assuming the liability.

(6) For the purposes of sub-sections (2), (3), and (5), the following conditions must be fulfilled:-

(a) The business asset, trading stock, or depreciable asset of the business that is disposed of shall, immediately after the transfer from the transferor, become a business asset, trading stock, or depreciable asset of the business of the related person.

(b) The non-business taxable asset or depreciable asset of an investment that is disposed of shall, immediately after the transfer from the transferor, become a business asset, non-business taxable asset, depreciable asset, or trading stock of the related person.

(c) In the case of a liability, the liability must be transferred to the related person for earning income from any business or investment of that related person.

(d) At the time of transfer, the transferor and the related person must be residents, and the related person must not be a tax-exempt person.

(e) At least fifty percent of the ownership inherent in the asset or the burden inherent in the liability, as the case may be, must remain.

(f) A written request must be made by both the person and the related person to apply the election under sub-section (2), (3), or (5), as the case may be. 46.

Involuntary disposal with replacement of asset or liability: (1) Where a person involuntarily disposes of any asset in any of the ways mentioned in sub-section (1) of section 40, and within one year acquires ownership of another asset of the same kind in replacement, and makes a written request to have this section apply, the following shall apply:- (a) that person shall be deemed to have received an amount equal to the sum of the following amounts for that disposal:- (1) the net outgoings in respect of that asset immediately before the disposal; and (2) the amount by which the amount received from the disposal exceeds the cost incurred in acquiring the replacement asset, if any; and (b) that person shall be deemed to have incurred expenses equal to the sum of the following amounts when acquiring the replacement asset:- (1) the net outgoings in respect of the disposed asset immediately before the disposal; and (2) the amount by which the cost incurred in acquiring the replacement asset exceeds the amount received from the disposal, if any. (2) Where a person involuntarily disposes of any liability in any of the ways mentioned in sub-section (2) of section 40, and within one year assumes another liability of the same kind in replacement, and makes a written request to have this section apply, the following shall apply:- (a) that person shall be deemed to have incurred an expense for that disposal equal to the amount resulting from deducting the amount under sub-clause (2) from the amount under sub-clause (1):- (1) the amount in respect of net receipts in respect of that liability immediately before the disposal; (2) the excess expense amount, if any, by which the cost incurred in the disposal exceeds the amount received when assuming the replacement liability; (b) that person shall be deemed to have received an amount equal to the sum of the following amounts when assuming the replacement liability:- (1) the net receipts in respect of the disposed liability immediately before the disposal; and (2) the amount by which the amount received when assuming the replacement liability exceeds the cost incurred in the disposal, if any. (3) Circumstances where an involuntary disposal arises from a change in an

interest in an entity or a restructuring of an entity, resulting in the replacement of one interest in the entity with another interest (security), shall be as prescribed. 47.

Disposal by merger of assets and liabilities: (1) Where a person acquires an asset or assumes a liability, and as a result, another asset owned by that person or another liability assumed by that person is extinguished or merged, resulting in a disposal, the following shall apply:- (a) In the case of net outgoings in respect of the merging asset or liability immediately before the disposal, that person:- (1) shall be deemed to have received an amount equal to those net outgoings in respect of the disposal of the merging asset or liability, provided that such amount shall not exceed the amount received by that person in respect of the merged liability. (2) shall be deemed to have incurred an expense equal to that amount when holding the ownership of the merged asset or bearing the burden of the merged liability. (b) In the case of net receipts in respect of the merging liability immediately before the disposal of that liability, that person:- (1) shall be deemed to have incurred an expense for the disposal of the merging liability equal to those net receipts, provided that, in the case of the merged asset, it shall not exceed the expense incurred by that person when acquiring that asset. (2) shall be deemed to have received an amount equal to that amount when holding the ownership of the merged asset or assuming the burden of the merged liability. (2) Without prejudice to the matters contained in sub-section (1), that sub-section shall also apply in the following circumstances:- (a) where that person performs an act of acquiring or selling any asset; (b) where that person acquires an asset that has been leased out by that person; and (c) where a liability for which a guarantee has been given by the transferor is transferred. Added by the Finance Act, 2075.47A. Special provisions regarding disposal arising from business merger: (1) Where entities of the same nature engaged in banking and financial business or insurance business merge (merger or acquisition), the provisions of clauses (a), (b), (d), (e), (f), and (chha) of sub-section (2) and sub-section (3) of section 47 shall not apply. Provided that if the entity that ceases to exist upon merger has any undeducted loss, such loss shall be deducted in equal installments over the next seven years.

If the entity deducting the loss in this manner is divided again before fully deducting the entire loss, the amount deducted as loss shall be subject to tax at the rate of tax prevailing in the fiscal year of merger (merger or acquisition) on the amount deducted. (2) Where assets and liabilities are disposed of due to the merger of entities under sub-section (1), the following shall apply:- (a) In the case of disposal of trading stock and business assets:- (1) that person shall be deemed to have received an amount equal to the net outgoings in respect of such asset immediately before the disposal for that disposal; and (2) the person acquiring the asset shall be deemed to have incurred a cost equal to the amount mentioned in sub-clause (1). (b) In the case of disposal of depreciable assets:- (1) that person shall be deemed to have received an amount equal to the residual value of the declining balance of the group under section 4 of Schedule 2 at the time of disposal for that disposal; and (2) the person acquiring the asset shall be deemed to have incurred a cost equal to the amount mentioned in sub-clause (1). (c) In the case of disposal of liabilities:- (1) that person shall be deemed to have incurred a cost for that disposal equal to the lower of the market value and the net receipts of such liability immediately before the disposal; and (2) the person assuming the liability shall be deemed to have received an amount equal to the amount mentioned in sub-clause (1) for assuming such liability. (d) When calculating the cost of assets and liabilities merged, the entity that merges or the entity resulting from the merger shall calculate under clauses (a), (b), and (c) only the cost in respect of assets and liabilities that existed during the operation of the merged business by the merging entity (prior to the merger or acquisition). (3) In the case of an additional lump sum payment (other than payments made through a retirement fund or payments required under employee service conditions) made for the purpose of granting collective retirement to employees working in the entity that is disposed of by merger or the entity after

merger under sub-section (1), tax shall be deducted at a rate with a fifty percent reduction from the tax deduction rate applicable to such payment. (4) If shareholders of the entity that is disposed of by merger under sub-section (1) dispose of their shares by way of sale within two years of the merger, no capital gains tax shall be levied on the gain on such disposed shares. (5) No tax shall be levied on dividends distributed by the entity that is disposed of by merger under sub-section (1) to shareholders existing at the time of merger within two years of the merger date. (6) Entities of the same class wishing to merge and be disposed of under sub-section (1) Deleted by the Finance Act, 2080. shall submit a letter of intent to merge Deleted by the Finance Act, 2080. to the Department by the end of Ashadh 2079. (7) Entities that submit a letter of intent under sub-section (6) for merger under sub-section (1) shall complete the merger process by the end of Ashadh 2080 Amended by the Finance Act, 2078.. (8) Entities that merge with each other after the commencement of this section and have not availed the facility under this section may also avail the facility under this same section. (9) In the case of entities that do not submit a letter of intent within the period specified in sub-section (6) and entities that do not complete the merger process by the date mentioned in sub-section (7), the provisions of this section shall be deemed not to have applied.

48. Disposal of assets and liabilities arising from division: Where rights relating to an asset acquired by ownership or burdens relating to a liability assumed are created in another person, including through a lease of an asset or part thereof, the following shall apply:-

- (a) if the rights or burdens are permanent, the first person shall be deemed to have disposed of a part of that asset or liability but not to have acquired any new asset or liability; and
- (b) if the rights or burdens are temporary or contingent, the first person shall be deemed not to have disposed of any part of that asset or liability,

provided that it shall be deemed that, as the case may be, a new asset has been acquired or a new liability has been assumed.

49. Disposal arising from allocation of outgoings and receipts: (1) Where a person acquires, assumes, or disposes of any asset or liability in the following circumstances, the outgoings or receipts incurred or received in respect thereof shall be allocated between assets and liabilities on the basis of market values at the time of acquisition, assumption, or disposal, as the case may be:-

- (a) where more than one asset is acquired or more than one liability is assumed at the same time; or
- (b) where more than one asset or liability is disposed of at the same time.

(2) Where a person who owns an asset or bears a liability disposes of a part of that asset or liability, the net outgoings or net receipts in respect of that asset or liability immediately before the disposal shall be apportioned between the part disposed of and the part retained on the basis of their respective market values immediately after the disposal. Chapter 9

Special Provisions Relating to Natural Persons

50. Couples: (1) A resident natural person and that person's resident spouse may, by giving written notice, elect to be treated as a single natural person for tax purposes for a particular income year.

(2) In respect of an income year, a couple that elects the arrangement under sub-section (1) shall be jointly and severally liable for the tax payable by either spouse for that year.

(3) Notwithstanding anything contained in sub-sections (1) and (2), a resident widow or widower with a dependent shall be treated as a couple. 51.

Medical treatment tax credit: (1) A resident natural person may claim a medical treatment tax credit for an income year for approved medical treatment expenses incurred by that person, either directly or through another person, for that person. (2) For any income year, the amount of the medical treatment tax credit of a natural person shall be calculated at the rate of fifteen percent of the approved medical treatment expenses

under sub-section (1), plus any amount referred to in sub-section (4), if any. (3) Notwithstanding anything contained in sub-section (2), the medical treatment tax credit claimed by a natural person for an income year shall not exceed the specified limit. (4) For any income year, in the case of a natural person, the excess amounts under clauses (a) and (b) to the following extent may be carried forward and included in the amount under sub-section (2) for future years:- (a) to the extent the amount under sub-section (2) exceeds the limit under sub-section (3); and (b) to the extent that the person under clause (a) of section 3 cannot use the medical treatment tax credit due to the tax payable by that person for that year being less than the credit amount. Explanation: For the purposes of this section, "approved medical treatment expenses" means approved medical treatment expenses as prescribed. Chapter 10 Special Provisions for Entities 52. Tax principles applicable to entities: (1) An entity shall be responsible separately from its interest holders for the purpose of filing tax. (2) Distributions from an entity shall be as provided in section 53, and such distributions shall be taxed to its interest holders under section 54. (3) Amounts received and expenses incurred by an entity shall be deemed to be received and incurred by the entity, regardless of whether the entity has received or not received, or incurred or not incurred, such amounts or expenses on behalf of another person. (4) Assets owned and liabilities assumed by the entity shall be deemed to be owned or borne by that entity.

Such owned assets and assumed liabilities shall not be deemed to be owned or borne by

Added by the Finance Act, 2075.(1a) For the purpose of calculating a change of fifty percent or more than fifty percent ownership of any entity as referred to in sub-section (1), only the following ownership of such entity shall be included:

(a) Ownership taken by a shareholder or partner acquiring one percent or more than one percent of the total ownership, amended by the Finance Act, 2079. and

(b) Ownership taken by an associated person of a shareholder or partner acquiring more than one percent of the total ownership of such entity, among those shareholders or partners acquiring less than one percent of the total ownership. amended by the Finance Act, 2079.

(2) If there is a change of ownership of any entity as referred to in sub-section (1), such entity shall not be permitted to do the following after such change:

(a) deduct interest carried forward under sub-section (3) of Section 14, which was incurred by such entity prior to the change of ownership,

(b) deduct losses incurred by such entity prior to the change of ownership in accordance with Section 20,

(c) carry back losses incurred after the change of ownership to any income year prior to such change of ownership in accordance with sub-section (4) of Section 20 deleted by the Finance Act, 2075. ,

(d) adjust in accordance with sub-section (4) of Section 24, in a case where any amount or expenditure was accounted for under sub-section (4) of Section 24 prior to the change of ownership and such amount or expenditure is corrected under amended by the Finance Act, 2075. sub-section (4) of Section 24 after the change of ownership,

(e) adjust in accordance with sub-section (1) of Section 25, in a case where any amount was accounted for under clause (b) of sub-section (1) of Section 25 prior to the change of ownership and the right to receive such amount is relinquished after the change of ownership or, if such amount becomes an uncollectible debt claim of a person and that person writes off such debt treating it as a bad debt,

(f) reduce, in accordance with Section 36, the income derived from the disposal of assets or liabilities after the change of ownership by the loss incurred upon the disposal of assets or liabilities prior to the change of ownership,

(g) claim expenditure in accordance with sub-clause (1) of clause (b) of sub-section (2) of Section 60, in a case where a premium was accounted for prior to the change of ownership and such premium is returned to the insured after the change of ownership, or

(h) carry forward to the following year, in accordance with sub-section (3) of Section 71, the tax deposited in respect of foreign income prior to the change of ownership.

(3) If there is a change in the ownership of any entity in any income year in the manner referred to in sub-section (1), the parts of that income year before and after the change of ownership shall be treated as separate income years.

58. Provision disallowing reduction of dividend tax: amended by the Finance Act, 2075.(1) An arrangement made by an entity maintaining all of the following conditions shall be deemed to be an arrangement to reduce dividend tax:

(a) if such entity has accumulated, current, or expected profits,

(b) if a person acquiring an interest acquires any interest in such entity, and such interest recipient or his associated person has made any payment to the current or former interest holder of such entity or his associated person, whether or not related to the acquisition of the interest, and whether or not paid at the time of acquisition of the interest,

(c) if such payment is reflected, wholly or partly, in the profits of the entity, and

(d) if such entity distributes a dividend to such interest recipient and such dividend wholly or partly includes the said profits.

(2) Where a dividend is distributed by an entity under an arrangement to reduce dividend tax made in accordance with sub-section (1), such arrangement shall be deemed to be as follows:

(a) The payment made by the interest recipient or his associated person shall not be deemed to be a payment made by that person, but shall be deemed to be a distribution of a dividend by such entity to the former or current interest holder referred to in clause (b).

(b) The dividend distributed by such entity to the interest recipient shall be deemed to be an amount equal to the amount arrived at by deducting the amount referred to as such payment from the dividend referred to in clause (a). Chapter-11

Special Provisions Relating to Banking and Insurance Business

59. Banking business: (1) While calculating the income or loss derived from the business of a person engaged in banking business in any income year, the banking business shall be treated as a separate business distinct from any other business carried on by that person, and shall be calculated separately. Added by the Finance Act, 2075.(1a) Subject to the standards prescribed by Nepal Rastra Bank, an amount up to five percent of the loan amount remaining to be recovered kept in the risk-bearing fund and the amount provisioned for non-banking assets, etc., by a person engaged in banking business, shall be allowed as a deduction as an expense. Added by the Finance Act, 2075.(1b) An amount up to five percent of the loan

amount remaining to be recovered kept in the risk-bearing fund by a cooperative institution shall be allowed as a deduction as an expense.

Added by the Finance Act, 2075.(1c) If an expense is debited to profit as 'bad and doubtful debts' while the risk-bearing fund under sub-sections (1a) and (1b) remains, it shall not be allowed, and if the amount in such fund is capitalised or distributed as profit or dividend, it shall be included in the income of the year in which it is distributed. Deleted by the Finance Act, 2075.(2) Deleted by the Finance Act, 2075.(3) 60. General insurance business: (1) While calculating the income or loss derived from the business of a person engaged in general insurance business in any income year, the insurance business shall be treated as a separate business distinct from any other business carried on by that person, and shall be calculated separately. (2) While calculating the income of a person engaged in general insurance business for any income year, the following shall be done: (a) On the income side, in addition to any other amounts required to be included under this Act, the following amounts shall also be included: (1) the amount received by that person in that year as premium for insurance, including reinsurance premium, derived from carrying on that business, and (2) amounts received in that year from payments under clause (1) of clause (b) in respect of any contract of reinsurance, guarantee, security, or indemnity. (b) On the expenditure side, in addition to amounts allowable as deduction under this Act, the following amounts shall also be allowed as deduction: (1) payments made by that person in that year as an insurer while carrying on that business, and (2) premiums returned to the insured in that year which were included in accordance with sub-clause (1) of clause (a) while calculating income from that business for that or prior years. Added by the Finance Act, 2075.(3) The sum of the following amounts kept in the risk-bearing fund: (a) an amount up to fifty percent of the net insurance premium shown in the profit and loss account for any year, and (b) an amount up to one hundred fifteen percent of the amount outstanding as claims payable at the end of any year. Provided that the amount for which deduction has been taken under this sub-section in any year shall be included in income while calculating the income from the insurance business in the following income year. Repealed by the Finance Act, 2075.(3) Repealed by the Finance Act, 2075.(4) 61.

Life insurance business: (1) While calculating the income or loss derived from the business of a person engaged in life insurance business in any income year, the life insurance business shall be treated as a separate business distinct from any other business carried on by that person, and shall be calculated separately. (2) While calculating the income of a person engaged in life insurance business for any income year, the following shall be done: (a) Include other amounts includible under this Act except the following amounts: (1) the amount received by that person in that income year as premium for insurance, including reinsurance, derived from carrying on that business, and (2) amounts received in that year from payments under clause (1) of clause (b) in respect of any contract of reinsurance, guarantee, security, or indemnity. (b) Deduct other amounts allowable as deduction under this Act except the following amounts: (1) payments made by a person as an insurer while carrying on that business, and amended by the Finance Act, 2075.(2) premiums referred to in sub-clause (1) of clause (a) that are returned to the insured. (3) The amounts referred to in sub-clauses (1) and (2) of clause (a) and sub-clauses (1) and (2) of clause (b) of sub-section (2) shall not be deemed to be income or amended by the Finance Act, 2075. expenses in respect of the assets or liabilities of that person. (4) The life insurance contract of the life insurance business of a person shall not be deemed to be the assets and liabilities of that person. 62. Amount received from insurance: (1) For the purpose of calculating the income of a person, the amount received by that person from insurance shall be as referred to in Section 31. (2) Notwithstanding anything contained in sub-section (1), the profit derived from life insurance shall be as follows: (a) in the case where a resident person has paid such amount, tax shall be levied on the insured by way of final withholding tax, and (b) in the case where a non-resident person has

paid such amount, such amount shall be included in the income of the insured and calculated. Explanation: For the purpose of this section, "profit derived from life insurance" means the amount by which the payment received by a person in respect of such insurance exceeds the premium paid by that person.

Chapter-12 Special Provisions Relating to Retirement Savings 63. amended by the Finance Act, 2062.Retirement fund: (1) Deleted by the Finance Act, 2062 (2) A natural person who is a beneficiary of an approved retirement fund may claim a deduction, while calculating his taxable amended by the Finance Act, 2075. income, for the retirement contribution made to such fund in any income year. Added by the Finance Act, 2062.Explanation: For the purpose of this section, "approved retirement fund" means the Employees' Provident Fund established under the Employees' Provident Fund Act, 2019; the Citizen Investment Fund established under the Citizen Investment Fund Act, 2047; the retirement fund operated by the Social Security Fund established under the Contribution-based Social Security Fund Act, 2074; and the retirement fund operated by the Pension Fund established under the Pension Fund Act, 2075. (3) Notwithstanding anything contained in sub-section (2), the amount claimed as deduction by a person in any income year under that sub-section shall not exceed the prescribed limit for retirement contribution. 64. Tax on retirement fund: (1) For the purpose of determining the income of a retirement fund, amounts includible or deductible under this Act shall be included or deducted while calculating the fund's income. Provided,- (a) contributions received by such fund shall not be income of such fund and such contributions shall not be included in the calculation. (b) retirement payments shall not be expenses of such fund and such payments shall not be allowed as a deduction while calculating income. (c) the interest of any beneficiary in the retirement fund shall not be a liability of such fund. (2) Income of an approved retirement fund shall be exempt from tax. (3) If an approved retirement fund ceases to be such a fund, such fund shall pay tax on the amount arrived at by deducting the amount under clause (b) from the amount under clause (a), at the rate of tax referred to in sub-section (1) of Section 2 of Schedule-1 amended by the Finance Act, 2075.. (a) all retirement contributions accumulated in such fund and all income which would have been deemed taxable income had sub-section (2) not applied, during the period from the date of approval as an approved retirement fund to the date of termination of approval, (b) all retirement benefit payments made by such fund during the period from the date of approval as an approved retirement fund to the date of termination of approval. 65.

Retirement payments: (1) Retirement payments made from a contribution-based interest added by the Finance Act, 2075. held in an approved retirement fund by a natural person added by the Finance Act, 2075. or made by the Government of Nepal, for the purpose of calculating income, shall be as follows: (a) retirement payments made by such fund in respect of the interest held in such fund shall be included in income, and (b) notwithstanding anything contained in clause (a), if such payment is made as a lump sum, the payment after deducting from such payment amount the higher of fifty percent of such payment amount or five hundred thousand rupees, shall be deemed to be a gain from the disposal of non-business taxable assets of that natural person. Deleted by the Finance Act, 2081 (2) For the purpose of calculating the benefit derived from an interest held in an unapproved retirement fund by a natural person, the following shall apply: (a) in the case where the payment is made by a resident person, tax shall be levied on such beneficiary by way of final withholding tax on such amount, and (b) in the case where the payment is made by a non-resident person, such amount shall be included while calculating the income of such beneficiary. Explanation: For the purpose of this section, "benefit derived from an interest held in an unapproved retirement fund" means the amount by which the retirement payment made to that person from such fund in respect of his interest exceeds the amount of retirement contributions paid by the beneficiary natural person to the unapproved retirement fund in respect of the interest. Added by the Finance Act, 2075.Provided that a payment made from a non-contributory fund shall not be deemed to be a benefit derived from an interest held

in an unapproved retirement fund. Repealed by the Finance Act, 2075.66. Chapter-13 International Tax 67.

Source of income, loss, gain, and payment: (1) If, in respect of income of a person from any employment, business, or investment, the amount referred to in clause (a) exceeds the amount referred to in clause (b), the source of such income shall be deemed to be in Nepal to the extent of such excess amount. (a) amounts sourced in Nepal included in calculating such income, (b) amounts sourced in Nepal deducted in calculating such income. (2) If, in respect of a loss incurred by a person from any business or investment, the amount referred to in clause (a) exceeds the amount referred to in clause (b), the source of such loss shall be deemed to be in Nepal to the extent of such excess amount. (a) amounts sourced in Nepal deducted in calculating the income from such business or investment, (b) amounts sourced in Nepal included in calculating such income. (3) An amount included in calculating income shall be deemed to have a source in Nepal in the following circumstances: (a) net gains under clause (c) of sub-section (2) of Section 7 or clause (b) of sub-section (2) of Section 9, arrived at after deducting losses incurred from the disposal of assets or liabilities sourced in Nepal from gains derived from the disposal of assets or liabilities sourced in Nepal, (b) gains and amounts included in calculating income as referred to in clause (d) of sub-section (2) of Section 7 or clause (c) of sub-section (2) of Section 9, involving assets situated in Nepal or liabilities to be borne in Nepal, (c) subject to clauses (a) and (b), payments received sourced in Nepal. (4) If assets situated in Nepal or liabilities to be borne in Nepal are involved, the source of the gain or loss arising from the disposal of such assets or liabilities shall be deemed to be in Nepal. (5) If amounts deducted while determining income include the following amounts, the source of such amounts shall be deemed to be in Nepal: (a) the amount allowable as deduction for cost under sub-section (1) of Section 15 in relation to assets situated in Nepal, (b) expenses under sub-section (1) of Section 16 and expenses allowable as deduction up to the limit under Section 19 in relation to assets situated in Nepal, and (c) subject to clauses (a) and (b), payments sourced in Nepal. (6) The source of the following payments shall be deemed to be in Nepal: (a) dividends paid by a resident entity, (b) interest paid by a resident person, (c) payments in respect of natural resources made in relation to, or calculated with reference to, natural resources derived from land situated in Nepal, (d) rent paid for the use of any property situated in Nepal, (e) royalties received by a person for giving someone the use of any property situated in Nepal, or for the right to use such property, or for refraining from using such property, (f) amount paid in respect of general insurance relating to a risk situated in Nepal, and premium paid to that person in respect of general insurance, (g) payments received by a person operating a land, sea, or air transport or charter service business in Nepal, except as a result of transshipment, for: (1) the carriage of departing passengers, or (2) the despatch of mail, animals, or other direct movable property. (h) payments received by a person operating a business of transmitting news or information through means of communication such as wire, radio, optical fiber, or satellite, from the transmission of news or information from mechanisms established in Nepal, whether or not such news or information originates in Nepal, (i) payments for the following types of service fees, including fees for engaging employment or providing services or for refraining from such activities, not covered by clause (g) or (h): (1) if such activities occur in Nepal, wherever the place of payment, or (2) amended by the Finance Act, 2075. if the payment is made by the Government of Nepal, wherever the employment. (j) annuity amounts, amounts in respect of life insurance, and retirement benefit amounts not falling under clause (i), paid by a resident person, and any premium or other payment given to a resident person to secure such amounts, (k) gifts received in relation to a business or investment operated from assets situated in Nepal, and (l) payments other than those referred to in clauses (a), (b), (c), (d), (e), (f), (g), (h), (i), (j), and (k) above: (1) payments made in respect of the disposal of assets situated in Nepal or in respect of assuming a liability to be borne in Nepal, or (2) payments made in respect of activities conducted in Nepal. (7) Any income, loss, amount, gain, or payment not deemed to have a source in Nepal under the

above sub-sections shall be deemed to have a foreign source, and for the purpose of determining in which foreign country the source of such income, loss, amount, gain, or payment lies, the references to Nepal in this Act shall apply mutatis mutandis as references to that specific foreign country.

Explanation: For the purpose of this section,-

(a) "assets situated in Nepal" means land or buildings situated in Nepal, and assets other than land or buildings of a resident person situated in a foreign country, or if that person is associated with a controlled foreign entity under Section 69, includes that person's interest in that entity.

amended by the Finance Act, 2062.(b) "liability to be borne in Nepal" means a liability created from the activities conducted in Nepal by a resident person. 68. Foreign permanent establishments: (1) Notwithstanding anything contained in Section 3, subject to other provisions of this Act, the responsibility for depositing tax on the income of a foreign permanent establishment in Nepal of a non-resident person shall lie with that establishment itself.

(2) The income of the owner of a foreign permanent establishment under Section 69 shall be separated from the income of that establishment.

(3) Tax shall be levied on a permanent establishment as referred to in clause (b) of Section 3 on the income remitted abroad by a foreign permanent establishment in Nepal of a non-resident person.

(4) The income remitted abroad by a foreign permanent establishment in Nepal of a non-resident person in any income year shall be equal to the amount of dividend distributed by that foreign permanent establishment in that year. 69.

Controlled foreign entities: (1) If an entity, being a controlled foreign entity at the end of any income year, distributes a dividend in respect of its associated income for that year, it shall be deemed to have distributed a dividend proportionately to its interest holders as follows: (a) according to the rights of those interest holders in that income at the time of dividend distribution, or (b) if those rights are not reasonably determinable, in a manner deemed appropriate by the Department according to the circumstances. (2) Dividends distributed by an entity that is a controlled foreign entity at the end of any income year, other than in accordance with sub-section (1), in that income year shall not be subject to tax. (3) In respect of dividends deemed to be distributed in accordance with sub-section (1) from an entity to interest holders associated with the controlled foreign entity at the time of dividend distribution, the following shall be deemed to apply: (a) such dividends shall have the same character as the type and source of the entity's associated income, and (b) the distribution shall be deemed to be made proportionately from each type and source of the entity's associated income. (4) Any tax deposited by a controlled foreign entity, including tax deemed deposited under sub-section (5) or sub-section (5) of Section 52, in respect of amounts deemed distributed under sub-section (3), shall be set aside for the benefit of the interest holders associated with that entity. (5) Tax set aside under sub-section (4) shall be deemed to have been deposited by the interest holder at the time of apportionment, and the interest holder may avail the benefit of tax adjustment as provided in Section 71 for such tax. (6) The amount deemed distributed to an interest holder in accordance with sub-section (1) at the time of distribution shall be included in the expense in respect of any asset or liability held as an interest in the distributing entity by that recipient interest holder. (7) The dividend distributed to an interest holder entitled to tax exemption under sub-section (2) at the time of distribution shall be included in the income in respect of any asset or liability held as an interest in the distributing entity by the recipient interest holder. (8) For the purposes of this Act, foreign income tax deposited, or deemed deposited by a controlled foreign entity under

sub-section (5) or sub-section (5) of Section 52, shall be deemed to be tax deposited or deemed deposited by that entity under this Act.

Explanation: For the purpose of this section,-

(a) "associated income" means the taxable income of a controlled foreign entity for any income year calculated as if that entity were a resident entity.

(b) "controlled foreign entity" means a non-resident entity in which a resident person has an interest, directly or indirectly through one or more intermediary non-resident entities, and that person is associated with that entity, or if that person and up to four other resident persons are associated with that entity, such entity shall also be deemed to be a controlled foreign entity. 70. Tax applicable to non-residents providing water transport, air transport, or telecommunication services in Nepal: (1) The taxable income of a non-resident person operating water transport, charter service, or air transport for any income year shall include amounts derived from the following activities, except amounts received from transshipment in that year:

(a) the carriage of passengers departing from Nepal, or

(b) the carriage of mail, animals, or goods despatched from Nepal.

(2) The taxable income of a non-resident person operating a business of wire, radio, optical fiber, or satellite communication for any income year shall include amounts derived from the transmission of news or information, whether or not originating in Nepal, from mechanisms established in Nepal.

(3) Amounts included in the taxable income of a non-resident person under sub-section (1) or (2) shall be subject to tax at the rate specified in sub-section (7) of Section 2 of Schedule-1. Provided,

(a) such amounts shall not be taken into account when calculating the tax payable in respect of any remaining taxable income of that person,

(b) expenses related to the calculation of those amounts shall not be allowed as deduction when calculating such remaining taxable income, and

(c) in respect of those amounts, that person shall not be entitled to any tax adjustment benefit from the tax amount payable by that person under this section. Explanation: For the purpose of this section, "non-resident person" means a resident entity within a group of associated entities whose principal office is outside Nepal. 71.

Foreign tax adjustment: (1) A resident person who has deposited any foreign income tax in any income year may claim an adjustment for such foreign income tax in that year, to the extent of the tax deposited in respect of that person's determinable foreign income. (2) When calculating the foreign tax adjustment claimed under sub-section (1), the following shall be done: (a) a separate calculation shall be made for the determinable foreign income sourced in each country, and (b) in respect of each calculation, the claim for such foreign tax adjustment shall not exceed the tax rate that is higher than the average rate of Nepal tax for that person in that year, in respect of the determinable foreign income. (3) Any foreign income tax deposited by a person in respect of determinable foreign income for which the benefit of foreign tax adjustment under sub-section (1) is not available due to the limit provided in clause (b) of sub-section (2) may be: (a) carried forward to the following year, and (b) deemed to have been deposited in respect of that person's future income year's determinable foreign income sourced in the country where such foreign income arose. (4) Notwithstanding anything contained in sub-section (1), for any income year, a person may forgo the claim for foreign tax

adjustment available in that year and instead claim the amount in respect of such foreign income tax as an expense. Explanation: For the purpose of this section,- (a) "determinable foreign income" means the income from any employment, business, or investment of a resident person in any income year that is included in that person's determinable income, as follows: (1) income from a foreign source, or (2) income of a non-resident person deemed to be distributed to that resident person under Section 69, regardless of the source. amended by the Finance Act, 2075.(b) "average rate of Nepal tax" means the rate arrived at by dividing the tax amount payable under clause (a) of Section 3 by that person in that year, prior to any foreign tax adjustment, by that person's taxable income for that income year, and multiplying the result by one hundred. Chapter-14 Tax Administration and Official Documents 72.

Offices with prescribed jurisdiction shall function as parts of the Department.

(3) The Department may have the following officers and other employees:

(a) Director General,

(b) required number of Deputy Directors General, Chief Tax Administrators, Directors, Chief Tax Officers, Tax Officers, and other officers, and

(c) other employees.

(4) Subject to the directions given by the Government of Nepal, the Director General may:

(a) exercise any power conferred on the Department under this Act,

(b) subject to sub-sections (5) and (6), delegate the power under clause (a) to another officer for exercise,

(c) except for issuing a public circular under Section 75, prescribing documents under Section 77, suspending or otherwise affecting a reviewable decision under sub-section (5) of Section 115, accepting or rejecting wholly or partly the matters mentioned in an application made by a person under sub-section (7) of Section 115, adding and compounding an offence under Section 129, or authorizing an officer under Section 82, designate that all or some powers be exercised by any officer or employee of the civil service.

(5) Subject to the directions given by the Government of Nepal or the Director General, the Deputy Director General, Chief Tax Administrator, Director, Chief Tax Officer, and Tax Officer serving as the head of an office may:

(a) exercise powers other than issuing a public circular under Section 75, prescribing documents under Section 77, suspending or otherwise affecting a reviewable decision under sub-section (5) of Section 115, accepting or rejecting wholly or partly the matters mentioned in an application made by a person under sub-section (7) of Section 115, or adding and compounding an offence under Section 129, among the powers conferred on the Department under this Act, and

(b) subject to sub-section (6), delegate such power to another officer of the Department for exercise.

(6) An officer of the Department other than the Director General, Deputy Director General, Chief Tax Administrator, Director, Chief Tax Officer, or Tax Officer serving as the head of an office may:

(a) exercise any delegated power among the powers of the Department, except the following powers:

(1) issuing a public circular under Section 75, prescribing documents under Section 77, suspending or otherwise affecting a reviewable decision under sub-section (5) of Section 115, accepting or rejecting wholly

or partly the matters mentioned in an application made by a person under sub-section (7) of Section 115, or adding and compounding an offence under Section 129, or

(2) authorizing an officer under Section 82 or issuing a notice under Section 109, and

(b) shall not re-delegate any power delegated to him. 73.

International agreements: (1) If there is a provision for tax to be levied on any income of a person under this Act or prevailing law, and if the same income is also subject to tax in a foreign country, the Government of Nepal may enter into an international agreement with a foreign government to avoid such double taxation. (2) This sub-section shall apply if the competent authority of another country, in accordance with an international agreement concluded with Nepal, requests the Department to collect in Nepal an amount payable by a person who has an outstanding liability under the tax law of that other country. (3) In a case where sub-section (2) applies, the Department may, for the purpose of remitting that amount to the competent authority, notify such person having the tax arrears in writing, requiring that person to deposit such amount in the Department within the date specified in such notice. (4) This sub-section shall apply if an international agreement provides for Nepal to grant exemption on income or payments, or to apply a reduced rate of tax on income or payments. (5) In a case where sub-section (4) applies, an entity shall not be eligible for tax exemption or tax deduction facility if: (a) the entity is deemed to be a resident of the other state party to that agreement for the purposes of that agreement, and (b) fifty percent or more of the beneficial ownership of that entity is held by natural persons or by entities in which no natural person has an interest, and for the purposes of that agreement, those persons or entities are not residents of either the other state party to that agreement or Nepal. Explanation: For the purpose of this section, "international agreement" means any treaty or agreement entered into with a foreign government that is in force for Nepal, providing for: (a) relief from double taxation and prevention of financial evasion, or (b) mutual administrative assistance in the enforcement of tax liability. 74. Rights of a taxpayer: amended by the Finance Act, 2075. (1) A taxpayer shall comply with the duties under this Act. (2) A taxpayer shall have the following rights in the context of paying tax under this Act: (a) right to respectful treatment, (b) right to receive information on tax matters in accordance with prevailing law, (c) right to an opportunity to present evidence of innocence in tax matters, (d) right to appoint a legal practitioner or auditor for defence, and (e) right that tax-related confidential matters shall be inviolable except as provided in this Act.

Explanation: For the purpose of this section, "taxpayer" means a person on whom tax is levied and collected as referred to in Section 3. 75. Public circulars: (1) The Department may issue written public circulars with interpretations regarding the provisions of this Act, to bring uniformity in the implementation of this Act, simplify tax administration, and provide guidance to officers of the Department and persons affected by this Act.

(2) The Department may publish and disseminate the circulars issued under sub-section (1) for public information on the Department's website, in national level newspapers, or through other electronic means.

(3) The Department shall be bound to act in accordance with a circular issued under sub-section (1) until such circular is revoked. 76. Advance ruling: (1) If a person submits a written application to the Department for resolution of any doubt regarding the application of this Act in relation to any proposed or assumed arrangement by him, the Department may, by notifying that person in writing, issue its view by an advance ruling as prescribed.

(2) Notwithstanding anything contained in sub-section (1), if any matter relating to a doubt arising in the

implementation of this Act is pending before a court or has already been decided by a court, the Department shall not issue an advance ruling under sub-section (1) on such matter.

(3) If a person has done the following before the issuance of an advance ruling under sub-section (1), the Department shall be bound to implement this Act in accordance with such ruling while it remains in effect for that person:

(a) submitted a complete and true description of the subject matter related to that ruling to the Department, and

(b) the arrangement is in accordance with the points mentioned in the application made by that person for that ruling.

(4) In case of conflict between a public circular issued under Section 75 and an advance ruling issued under sub-section (1), the matters mentioned in the advance ruling shall prevail for the person to whom the advance ruling was issued.

(5) Before issuing an advance ruling under sub-section (1), the Department may give the applicant an opportunity to appear in person or through a representative to submit any missing details if any. Added by the Finance Act, 2081.(6) The Department shall be bound to act in accordance with an advance ruling issued under sub-section (1) until such advance ruling is revoked. 77.

Format of documents: (1) The Department may, from time to time, prescribe the necessary documents, details including income statements, the method and format for submitting tax deduction details, and the format of records, so as to include the notices, details, and information required under this Act and the rules made thereunder, as well as for the effective implementation of this Act. (2) The Department shall make the formats under sub-section (1) available for public information at the Department, at other places determined by the Department, and through other means. Added by the Finance Act, 2075.(3) The Department may prescribe that any notice, detail, or document required to be submitted to the Department by a person shall be submitted through electronic means. 78. Permanent Account Number: amended by the Finance Act, 2075.(1) Subject to this Act, for the purpose of identifying a person, the Department shall issue a Permanent Account Number to such person. Provided that an entity approved by the Department may issue such Permanent Account Number following the procedure under this Act. A taxpayer receiving a Permanent Account Number so issued shall not be allowed to engage in import amended by the Finance Act, 2081.export transactions until the period prescribed by the Department. (2) The Department may order any person to mention his Permanent Account Number in any income statement, detail, statement, or other document used for the purposes of this Act. amended by the Finance Act, 2075.(3) The Department may prescribe the circumstances in which a person must show or mention the (2) No officer shall exercise any power under sub-section (1) without obtaining written authorization from the Department.

If, when entering any premises or place by exercising a power under sub-section (1), the person in possession of such premises or place or the person having access to any relevant document or property requests to see the Department's authorization, such officer must show such authorization to them.

(3) If an officer of the Department entering any premises or place by exercising a power under sub-section (1) so requests, the person in possession of such premises or place or the person having access to the relevant documents or property must provide all appropriate facilities and assistance for the effective exercise of that power.

(4) The Department may retain documents or property seized under clause (c) or (d) of sub-section (1) for the following periods:

(a) in the case of any document seized under clause (c) of sub-section (1), for such period as is necessary for determining the tax liability of any person or for any other proceeding under this Act, and

(b) in the case of property seized under clause (d) of sub-section (1), until such time as access to the disputed document is obtained and it is not taken into possession.

(5) The person from whom documents have been seized under sub-section (4) may examine such documents and may, under the supervision as determined by the Department and at the cost of the person concerned, take copies or extracts of such documents within office hours.

(6) For the purpose of obtaining access to documents necessary for the implementation of this Act, the provisions contained in this section shall apply, notwithstanding any provision relating to privilege or public interest made in this regard. Explanation: For the purpose of this section, "person in possession" means, in relation to any premises or place, the owner, manager, or any other person present there. 83.

Power to obtain information by notice: (1) The Department may, by issuing a written notice to any person, whether or not liable to pay tax under this Act, order that person to do the following: (a) to submit, within the time specified in the notice, any information specified in the notice, including by preparing any document, (b) to appear before an officer of the Department at the time and place specified in the notice for examination concerning the tax affairs of that person or any other person, (c) to produce any document under the control of that person, as mentioned in the notice, for the purpose of examination at the time of that person's examination under clause (b). (2) Any person examined under clause (b) of sub-section (1) shall have the right to be represented by legal or other representation throughout such examination. (3) For the purpose of obtaining access to documents necessary for the implementation of this Act, the provisions contained in this section shall apply, notwithstanding any provision relating to privilege or public interest made in this regard.

84. Official secrecy: (1) Every officer and other employee of the Department shall keep confidential all documents and information that come into their possession or knowledge in the course of performing their duties under this Act. (2) Notwithstanding anything contained in sub-section (1), an officer of the Department may disclose documents or information under sub-section (1) to the following persons and in the following manner: (a) to the extent necessary for the officer to perform their duties under this Act, (b) upon an order from any court or tribunal in connection with administrative review or proceedings under this Act, (c) to the Minister of Finance, (d) where disclosure is necessary for the purposes of any other financial law, (e) to any person in the service of the Government of Nepal, to the extent necessary for revenue or statistical work, (f) to the Auditor General or any person authorized by the Auditor General, where such disclosure is necessary in the course of performing official duties, or (g) to the authorized officer of the government of any country with which Nepal has an international agreement, to the extent provided for in that agreement in this regard. (3) Any person, court, tribunal, body, or officer receiving documents or information under sub-section (2) shall keep such documents or information confidential, except to the minimum extent necessary. Chapter-16
Payment of Tax 85.

Time, place and manner of payment of tax: (1) Tax payable under this Act shall be paid at the place and in the manner prescribed Added by the Finance Act, 2075. and the Department may prescribe that such tax payable shall also be paid through electronic means. (2) Tax payable under this Act shall, subject to sub-section (1), be paid at the following times: (a) by a person required to deduct and deposit advance tax, at the time mentioned in sub-section (4) of section 90, (b) by a person required to pay tax in installments, at the

time mentioned in sub-section (1) of section 94, (c) by a person required to pay assessed tax - (1) in relation to a tax assessment under section 99, on the date on which the return of income is due to be submitted, (2) in relation to a tax assessment made under sub-section (2) of section 100, within the period specified in the notice of assessment served under section 102, (3) in relation to an amended tax assessment under section 101, within the period specified in the notice of assessment served under section 102, (d) in relation to amounts payable to the Department pursuant to a notice issued under sub-section (8) of section 104, sub-section (1) of section 109, or sub-section (1) of section 110, on the date mentioned in that notice, (e) in relation to a liability arising under sub-section (2) of section 107 by reason of an entity not paying tax, at the same time as the entity was required to pay the tax, (f) in relation to an amount demanded under sub-section (3) or (4) of section 108, within seven days from the date of the auction sale and adjustment of the amount, or the date on which the amount could not be adjusted, as the case may be, and (g) in relation to fees and interest assessed under section 122, on the date mentioned in the notice of assessment. (3) The due date for payment of tax shall not be affected in the following circumstances: (a) any action taken by the Department under Chapter-20 for recovery of tax, or (b) commencement of any other proceeding under this Act. 86. Proof of tax payable: A certificate signed by an officer of the Department stating the name and address of a person and the amount of tax payable by that person shall be sufficient proof of the amount of tax payable by that person in the following proceedings: (a) any action taken by the Department under Chapter-20 for recovery of tax, or (b) any proceeding relating to an offense under Chapter-23.

Amended by the Finance Act, 2075. Provided that tax shall be deducted at the following rates on the following payments:

(1) in the case of a retirement payment made by the Government of Nepal or a contributory retirement payment from an approved retirement fund, at the rate of five percent on the benefit calculated in accordance with clause (b) of sub-section (1) of section 65,

(2) in the case of commission paid by a resident employment company to a non-resident person, at the rate of five percent,

(3) when making payment of the amount for aircraft lease (rental), at the rate of ten percent,

(4) in the case of service fee paid to a resident person providing services registered for value added tax or to a resident entity undertaking transactions exempt from value added tax, at the rate of one point five percent of the payment amount,

(5) in the case of a resident person making a payment of rent arising in Nepal, at the rate of ten percent,

Provided that,

(a) on the payment amount for the rental of such vehicle to a person registered for value added tax and engaged in the business of hiring out vehicles, tax shall be deducted at the rate of one point five percent.

(b) tax shall not be deducted on the amount received by a natural person as house rent.

(c) Omitted by the Finance Act, 2077

(6) in the case of payment of return amount distributed to a natural person from a mutual fund, at the rate of five percent,

(7) in the case of payment by a resident person for the use of satellite, bandwidth, optical fiber, telecommunication equipment or electricity transmission line, at the rate of ten percent,

(8) Omitted by the Finance Act, 2078

Provided that, on the payment amount to a person registered for value added tax and engaged in the business of providing transportation services or hiring out transport vehicles, tax shall be deducted at the rate of one point five percent. Added by the Finance Act, 2080.(9) in the case of interest payment by a resident bank or financial institution on loans taken in foreign currency from foreign banks or other financial institutions for investment in sectors specified by Nepal Rastra Bank, Amended by the Finance Act, 2078. at the rate of five percent, Added by the Finance Act, 2077. Added by the Finance Act, 2078.(9a) in the case of interest payment by a reservoir and semi-reservoir hydroelectric project of more than two hundred megawatts, which completes financial closure by Chaitra of the year 2082, on loans taken in foreign currency from foreign banks or other foreign financial institutions, at the rate of five percent.

Added by the Finance Act, 2077.(10) Tax shall not be deducted on the incentive amount provided to a consumer for making payment through electronic payment instruments such as payment cards, e-money (wallet), mobile banking, as per prevailing law, when purchasing goods and services. Added by the Finance Act, 2078.(11) when making payment of registration fee, tuition fee, and examination fee to a foreign school or university, at the rate of five percent of the payment amount. Added by the Finance Act, 2078.(12) in the case of interest paid by a resident bank or financial institution to a life insurance company on deposit, at the rate of five percent. Added by the Finance Act, 2079.(13) when making payment of royalty amount to a resident person for literary articles or compositions, at the rate of one point five percent of the payment amount. Amended by the Finance Act, 2075.(2) A resident person, when making the following payments arising in Nepal, shall deduct tax at the following rates:

(a) in the case of dividend payment, five percent of the payment amount,

(b) when making payment of investment insurance benefit, five percent of the payment amount, or

(c) when making benefit payment from an unapproved retirement fund, five percent of the benefit amount.

(3) Notwithstanding anything contained in sub-section (1), a resident bank, financial institution, cooperative, or any other entity issuing debentures, or a company listed under prevailing law, when making payment of interest or any amount on account of interest on deposits, debentures, debentures, and government bonds to any natural person, shall deduct tax at the rate of Amended by the Finance Act, 2080. six percent on the total payment amount:

(a) which arises in Nepal, and

(b) which is not related to the operation of a business.

(4) Notwithstanding anything contained in sub-sections (1), (2) and (3), this section shall not apply to the following payments:

Amended by the Finance Act, 2075.(a) any payment made by a natural person other than those related to the operation of a business,

Added by the Finance Act, 2075.(a1) payment for articles and compositions published in newspapers.

(b) interest paid to a resident bank or other resident financial institution, or

Omitted by the Finance Act, 2080.(b2)

(c) a payment exempt from tax or a payment from which tax is required to be deducted under section 87.

(d) interregional interchange fees paid to a credit card issuing bank,

(e) dividend and interest paid to a mutual fund. 88a. Deduction of tax on windfall gains: (1) Tax shall be deducted at the rate of twenty-five percent on payment on account of windfall gain.

Provided that, the Government of Nepal may, by publishing a notice in the Nepal Gazette, grant exemption from windfall gain tax on national and international level awards received for contribution in the fields of literature, art, culture, sports, journalism, science, technology and public administration. (2) Notwithstanding anything contained in sub-section (1), windfall gain tax shall not be levied on national and international level awards up to five hundred thousand rupees received for contribution in the fields of literature, art, culture, sports, journalism, science, technology and public administration. Added by the Finance Act, 2081. Provided that, if the award amount exceeds five hundred thousand rupees, windfall gain tax shall be levied on the excess amount. 89. Deduction of tax when making payment under contract or agreement: Amended by the Finance Act, 2075. (1) A resident person, when making a payment exceeding fifty thousand rupees on account of a contract or agreement, shall deduct tax at the rate of one point five percent of the total payment amount. (2) To ascertain the amount mentioned in sub-section (1), if any other payments have been made in the preceding ten days to the person receiving payment or its related person under the same contract or agreement from the same person or its related person, such payments shall also be added and ascertained. (3) Notwithstanding anything contained in sub-section (1), a resident person shall deduct tax at the following rates from payments made to any non-resident person under any contract or agreement: Amended by the Finance Act, 2075. (a) Omitted by the Finance Act, 2077. five percent on contract or agreement, (b) one point five percent on premium paid to a non-resident insurance company or on commission given from premium amount received from a non-resident insurance company on account of reinsurance, (c) at the rate specified in the written notice, if the Department has given such notice to such resident person, other than as described in clause (a) or (b). Added by the Finance Act, 2081. Provided that this sub-section shall not apply to payments on account of purchase of weapons, ammunition and communication equipment purchased for their own purposes by the Nepali Army, Nepal Police and Armed Police Force.

Added by the Finance Act, 2075. (3a.) Tax shall be deducted at the rate of one point five percent on payment amounts exceeding fifty lakh rupees made for the purpose of getting work done through a consumer committee. (4) Notwithstanding anything contained in sub-section (1), this section shall not apply to the following payments: Added by the Finance Act, 2075. (a) any payment made to a natural person not engaged in operating a business, other than rent paid for land, house, fittings and equipment installed in the house, arising in Nepal, (b) a payment granted exemption from tax or a payment from which tax is required to be deducted under section 87, 88, or 88a. Added by the Finance Act, 2075. Explanation: For the purpose of this section, "contract or agreement" means an agreement or contract made for the supply of any goods or labor, or for the construction, installation or erection of tangible property or structure, and any work designated as a contract or agreement by the Department, and if such contract or agreement also covers services related to construction or installation or erection, it also denotes the payment for such services. 90. Details and payment of tax deducted: (1) Every person required to deduct advance tax shall submit a statement to the Department in the manner and format prescribed by the Department within twenty-five days after the end of each month. (2) Along with the statement referred to in sub-section (1), the person deducting advance tax shall deposit with the Department the tax deducted or the amount deemed to have been deducted under sub-section (3) within the period mentioned in sub-section (1). (3) If the person required to deduct advance tax has not deducted tax under Amended by the Finance Act, 2075. section 87, 88, 88a, or 89, the tax shall be deemed to have been deducted at the time when such deduction should have been made. (4) Amended

by the Finance Act, 2075. The amount of tax deducted under section 87, 88, 88a, or 89, or the amount deemed to have been deducted under sub-section (3), shall be deposited by the person deducting such advance tax, and in cases where sub-section (5) applies, the person from whom the tax is deducted shall deposit such tax within Added by the Finance Act, 2075. twenty-five days after the period mentioned in sub-section (1).

Added by the Finance Act, 2075.(4a) Notwithstanding anything contained in sub-section (4), Omitted by the Finance Act, 2076. a person paying tax on the basis of turnover under sub-section (4a) of section 4 of the Act shall deposit the advance tax deducted under Chapter-17 at the time of paying the installment tax.

(5) Amended by the Finance Act, 2075. In the following circumstances, both the person from whom advance tax is deductible and the person deducting such advance tax shall be jointly and severally liable to deposit such tax amount with the Department:

(a) if the person deducting advance tax fails to deduct tax from any payment under Amended by the Finance Act, 2075. section 87, 88, 88a, or 89, and

(b) if the person deducting advance tax fails to deposit with the Department the amount deemed to have been deducted under sub-section (3) within the date prescribed for tax deposit under sub-section (4).

(6) If the person deducting advance tax deducts tax under Amended by the Finance Act, 2075. section 87, 88, 88a, or 89 and deposits it with the Department, then, with respect to the payment from which such tax was deducted, any claim made by the person from whom the tax was deducted shall be treated as if the amount had been paid to that person.

(7) Amended by the Finance Act, 2075. If the person deducting advance tax deposits with the Department the amount of tax not deducted under section 87, 88, 88a, or 89, that person shall be entitled to recover an amount equal to the deposited tax amount from the person from whom such deduction should have been made. Added by the Finance Act, 2075.(8) If the Department is satisfied that any person has failed to deposit the statement or tax required to be deposited under sub-section (1) or (2), or that the condition of sub-section (5) exists with respect to any person, it may order the deposit of the amount not deposited or short-deposited, together with interest under section 119, Added by the Finance Act, 2077. and, in the case of failure to deduct tax on a payment from which advance tax should have been deducted, also a fee under section 120. Provided that, before giving such order, the Department shall give a written notice affording a period of fifteen days to show cause and submit evidence of defense with respect to the order, specifying the appropriate reason. 91.

Tax deduction certificate: (1) The person deducting advance tax shall provide a tax deduction certificate to the person from whom tax is deducted, at the time specified in sub-section (2), as follows: (a) certified in the manner prescribed by the Department, if any manner is prescribed, and (b) Amended by the Finance Act, 2075. showing the amount of tax deducted and the payment amounts under section 87, 88, 88a, or 89. (2) The advance tax deduction certificate shall be provided within Amended by the Finance Act, 2075. twenty-five days from the date of the end of the month in which the advance tax was deducted, specifying the period for which the advance tax was deducted. (3) Notwithstanding anything contained in sub-section (2), in the case of tax deducted under section 87, the advance tax deduction certificate shall be provided as follows: (a) the certificate shall be only for the entire period during which the employee remained engaged in that year. (b) the certificate shall be provided within thirty days from the date of the end of that year, or if the employee ceased employment with that person deducting advance tax during that year, within thirty days

from the date of cessation of such employment. 92. Payments subject to final withholding tax: (1) The following payments shall be considered as payments subject to final withholding tax: (a) dividend paid by a resident Amended by the Finance Act, 2075. company or partnership firm, (b) rent paid, arising in Nepal, for land, house, and fixtures and equipment attached thereto, to a natural person other than one engaged in operating a business, Amended by the Finance Act, 2075.(c) benefit paid by a resident person on account of investment insurance, (d) benefit paid by a resident person on account of an unapproved retirement fund interest, Amended by the Finance Act, 2075.(e) interest paid by a bank, financial institution, or any other entity issuing debentures mentioned in sub-section (3) of section 88, or a company or cooperative listed under prevailing law, as follows: (1) paid to a natural person, where the interest arises in Nepal and is not related to the operation of a business, (2) paid to an institution eligible for tax exemption under clause (dh) of section 2. (f) Amended by the Finance Act, 2075. a payment made to a non-resident person from which tax is required to be deducted under section 87, 88, 88a, or 89.

Added by the Finance Act, 2075.(g) all types of retirement payments, including retirement payment made by the Government of Nepal or an approved retirement fund or an unapproved retirement fund (except regularly paid pension),

Added by the Finance Act, 2075.(h) meeting allowance up to twenty thousand rupees per meeting, payment for teaching on a one-off basis, for setting question papers or checking answer books,

Added by the Finance Act, 2075.(i) payment on account of windfall gain,

Added by the Finance Act, 2075.(j) return amount distributed to a natural person from a mutual fund. Amended by the Finance Act, 2062.(k) payment on account of fare or transport service of a vehicle or transport vehicle owned by a natural person depositing tax under sub-section (13) of section 1 of Schedule-1.

(2) If the person deducting advance tax or the person from whom tax is deducted deposits with the Department the tax deducted from a payment subject to final withholding tax under Amended by the Finance Act, 2075. section 87, 88, 88a, or 89, or the tax deemed to have been deducted under sub-section (3) of section 90, the person mentioned in clause (c) of section 3 shall be deemed to have fulfilled the tax liability.

93. Credit and inclusion of tax not finally withheld: (1) For the purpose of calculating the amount of any payment, if any tax has been deducted from such payment, the amount of such tax deduction shall be treated as part of that payment.

(2) If tax has been deducted on any payment other than a payment subject to final withholding tax, the person from whom tax is deducted shall be deemed to have deposited the following tax amounts:

(a) the amount of tax deducted on the payment under section 87, 88, or 89,

(b) if the person deducting advance tax or the person from whom tax is deducted has deposited with the Department the amount of tax deemed to have been deducted under sub-section (3) of section 90 or on the payment, such amount.

(3) The amount under sub-section (2) may be claimed by the person from whom tax is deducted for credit only against the tax amount payable for the income year in which that payment was made. Chapter-18
Installment Added by the Finance Act, 2075. and Advance Tax

94.

Deposit of tax in installments: (1) Any person who has or is likely to have assessable income from any

business or investment in any income year shall deposit tax in three installments as follows: Due Date Tax Amount to be Deposited By the end of Poush month Balance tax payable out of forty percent of the estimated tax By the end of Chaitra month Balance tax payable out of seventy percent of the estimated tax By the end of Ashadh month Balance tax payable out of one hundred percent of the estimated tax Explanation: For the purpose of this sub-section, (a) "estimated tax" means the estimated installment tax calculated under section 95 by any person required to deposit tax in installments at the time of depositing the installment tax for any year. (b) "balance tax payable" means the shortfall amount resulting from deducting the following total sum from the amount calculated by the percentage specified in this sub-section for deposit in installments of the estimated tax: (1) the amount of tax deposited for such income year by way of prior installments under this section before the due date of the relevant installment, (2) the amount of tax deducted under Chapter-17 from payments included in calculating that person's income for that year before the due date of the relevant installment, (3) if the agent deducting tax or the person from whom tax is deducted has deposited with the Department before the due date of the installment the amount deemed to have been deducted under sub-section (3) of section 90 from the payments mentioned in sub-clause (2) for that year, such tax amount, and (4) the tax credit amount for medical treatment expenses that the person can claim under section 51 in relation to approved medical treatment expenses incurred before the due date of the installment. Added by the Finance Act, 2075.(1a) A person paying tax on the basis of turnover shall deposit tax in two installments as follows: Due Date Tax Amount to be Deposited By the end of Poush month Tax leviable at the prescribed rate on transactions up to the 20th of Poush By the end of Ashadh month The tax amount arising after deducting the tax deposited within the end of Poush from the tax amount calculated by estimating the transactions up to the end of Ashadh based on the actual transactions up to the 20th of Ashadh and applying the prescribed rate.

95. Details of estimated tax to be deposited: (1) Every person required to deposit installments in any income year shall, within the due date for paying the first tax installment for that year under section 94, submit to the Department a statement in the Added by the Finance Act, 2075. format and manner prescribed by the Department, containing estimates of the following amounts for that person for that year:

(a) the assessable income that person is likely to derive from each source of employment, business and investment in that year, and the source of such income,

(b) the taxable income of that person likely to be derived in that year and the tax payable by the person mentioned in clause (a) of section 3, calculated according to section 4 without deducting the tax credit amount on account of medical treatment expenses,

(c) in relation to a foreign establishment in Nepal of a non-resident person, the income amount remitted abroad by such foreign establishment in that year and the tax payable on such income by the person mentioned in clause (b) of section 3, calculated under sub-section (5) of section 4, and

(d) any other details prescribed by the Department.

(2) The sum of the tax amounts mentioned in clauses (b) and (c) of sub-section (1) for the person referred to in sub-section (1) shall be the estimated tax payable for that income year.

(3) For the purpose of estimating the tax payable in any income year under clause (b) of sub-section (1), while calculating the foreign tax credit amount claimable under section 71, only the foreign tax paid by that person in that year or the foreign income tax that that person estimates is payable in that year shall be taken into account.

- (4) Unless a person depositing tax installments submits a revised estimate to the Department, mentioning the required information in the form under sub-section (1) and stating the reasons for revision, the estimate made by that person under that sub-section shall remain in effect for the whole of that income year.
- (5) Notwithstanding anything contained in sub-section (2), the revised estimate submitted under sub-section (4) by any person shall apply only for the purpose of calculating the tax installment payable under section 94 in that income year after the date of submission of such revised estimate to the Department.
- (6) Notwithstanding anything contained in sub-sections (1) and (5), the Department may prescribe that any person or class of persons required to deposit tax installments need not submit an estimate under sub-section (1).
- (7) Notwithstanding anything contained in sub-section (2), if any person required to deposit tax installments fails to submit an estimate in any income year under sub-section (1), or if the Department is not satisfied with the estimate or revised estimate submitted, Omitted by the Finance Act, 2075. the Department may do the following:
- (a) estimate the estimated tax payable by that person in that year based on the tax payable by the person mentioned in clause (a) or (b) of section 3 in the preceding income year, and
 - (b) the Department shall give a written notice to the person required to deposit installments, stating the estimate prepared under clause (a), the method used to prepare such estimate, and the reason, if the Department is not satisfied with the estimate submitted by the person.
- (8) If the Department gives a notice under sub-section (7) to the person required to deposit installments, the estimated tax amount payable by that person in that year shall be the amount estimated by the Department.
- 95a. Collection of advance tax: (1) The entity operating a commodity futures market shall collect advance tax at the rate of ten percent from the profit and gain derived by a person trading under the commodity futures market from that business.
- (2) If a resident person, other than a resident entity registered under prevailing law dealing in the purchase and sale of securities, derives a benefit from the transfer of an interest in a resident entity, advance tax shall be collected on such benefit calculated under section 37 as follows:
- (a) in the case of benefit derived from the transfer of an interest of an entity listed with the Securities Board of Nepal, the entity acting as the securities exchange market shall collect tax Added by the Finance Act, 2075. at the rate of five percent of the benefit amount for an interest owned for more than three hundred and sixty-five days and seven point five percent of the benefit amount for an interest owned for three hundred and sixty-five days or less in the case of a resident natural person, ten percent of the benefit amount in the case of a resident entity, and twenty-five percent of the benefit amount in other cases,
 - (b) in the case of benefit derived from the transfer of an interest of an entity not listed with the Securities Board of Nepal, the entity whose interest is transferred shall collect advance tax at the rate of ten percent of the benefit amount for a resident natural person, fifteen percent of the benefit amount for a resident entity, and twenty-five percent of the benefit amount in other cases,
- Added by the Finance Act, 2076.(2a) When calculating the benefit under clause (a) of sub-section (2), it shall be done based on the weighted average cost of the interest owned by that person in that entity on that date.
- (3) When an interest under clause (b) of sub-section (2) is transferred and the Company Registrar's Office

registers the shares, it shall do so only after proof of deposit of advance tax on the benefit amount is submitted.

(4) Omitted by the Finance Act, 2079

(5) In the case of capital gain on account of transfer of land or private building of any natural person, the Land Revenue Office shall collect advance tax at the time of registration as follows:

(a) if the ownership of the non-business taxable asset (land and building) transferred is five years or more, at the rate of Amended by the Finance Act, 2079. five percent,

(b) if the ownership of the non-business taxable asset (land and building) transferred is less than five years, at the rate of Amended by the Finance Act, 2076. seven point five percent.

Added by the Finance Act, 2076.(6) In the case of transfer of land or building owned by any person other than as described in sub-section (5), the Land Revenue Office shall collect advance tax at the time of registration at the rate of one point five percent on the transferred value. Added by the Finance Act, 2077.(6a) A resident bank or financial institution providing foreign exchange facility for language test and standardized test fees for students going to study abroad shall collect advance tax at the rate of fifteen percent at the time of providing such foreign exchange facility on the amount of such test fees. Added by the Finance Act, 2078.(6b) If a resident natural person not engaged in operating a business receives payment in foreign currency for providing software or other electronic services of a similar nature outside Nepal, the concerned bank, financial institution, and money transfer institution shall collect advance tax at the rate of Amended by the Finance Act, 2080. five percent of the amount received when providing such payment. Added by the Finance Act, 2078.(6c) If a resident natural person not engaged in operating a business receives any payment in foreign currency for providing consultancy services personally outside Nepal, the concerned bank, financial institution, and money transfer institution shall collect advance tax at the rate of Amended by the Finance Act, 2080. five percent of the amount received when providing such payment. Added by the Finance Act, 2078.(6d) If a resident natural person not engaged in operating a business receives payment in foreign currency for uploading audiovisual content on social media, the concerned bank, financial institution, and money transfer institution shall collect advance tax at the rate of Amended by the Finance Act, 2080. five percent of

(2) The Department may extend the time limit for filing the income return under sub-section (1) by a maximum of three months, whether at once or in installments. 99.

Assessment of Tax: (1) If an individual has filed an income return for any income year by the date on which the income return is required to be filed, disclosing the following amounts, such income return shall be deemed to have been assessed:- (a) In the case of a person referred to in clauses (a) and (b) of Section 3, the amount of tax mentioned in the income return that is payable for that income year, and (b) The outstanding tax amount for that year as mentioned in the income return. (2) If an individual fails to file an income return for any income year, it shall be deemed, until the income return is filed, that an assessment has been made as follows on the date the income return was due to be filed:- (a) The amount of any tax deducted from amounts received under Chapter 17 and any amount deposited by him in installments for that year under Chapter 18 shall be deemed to be equal to the total amount of his tax for that year, and (b) It shall be deemed that no tax remains payable under the assessment. 100. Best Judgment Assessment: (1) If an income return for any income year or part of an income year is required to be filed under sub-section (5) of Section 96, it shall be done in accordance with Section 99. Amended by the Finance Act, 2075.(2)

Notwithstanding anything contained in sub-section (1), in the circumstances referred to in sub-section (5) of Section 96, the Department may fairly assess the tax of such person on the basis of the amounts referred to in sub-clauses (1), (2), and (3) of clause (a) of sub-section (2) of Section 96, for any income year or part thereof. (3) Where an assessment is made under sub-section (1) or (2), the following shall apply:- (a) A person whose tax has been assessed for the full income year shall not be required to file an income return under sub-section (1) of Section 96 for that income year, or (b) A person whose tax has been assessed for a part of an income year shall be required to file an income return for that income year under sub-section (1) of Section 96. (4) The tax amount deposited in accordance with an assessment for a part of an income year may be adjusted against the tax payable upon the assessment for the full year. (5) When making an assessment under this section, the Department shall provide a period of seven days to submit evidence of clearance. 101.

Revised Assessment: (1) The Department may make a revised assessment to adjust the tax liability of a person whose tax has been assessed under Section 99 or 100, on a fair basis in accordance with the objectives of this Act. (2) If the Department deems it appropriate, it may revise a revised assessment made under sub-section (1) as many times as necessary on a fair basis. (3) When making an assessment under sub-section (1) or (2), the Department must do so within four years from the following dates:- (a) In case of assessment under Section 99, the date on which the income return was required to be filed, (b) In case of assessment under sub-section (2) of Section 100, the date on which notice of assessment was given to the person under Section 102, (c) In case of an assessment under sub-section (1) or (2), the date referred to in clause (a) or (b) relating to the original assessment that was revised under sub-section (1). (4) Notwithstanding anything contained in sub-section (3), if the assessment of any person has been made incorrectly due to fraud, the Department may revise such assessment at any time. When making such revision, it must be completed within one year of obtaining knowledge of the fraud leading to the incorrect filing or assessment. (5) Notwithstanding anything contained in sub-section (3), where a Revenue Tribunal or other competent courts have revised an assessment or reduced the assessed tax, the Department shall not revise such assessment to that extent. Provided that if an order for reinvestigation is given, it shall not be deemed to have prevented the revision. (6) When revising an assessment under this section, the Department shall, by providing a clear written notice of the reasons for such revision to the person, grant a period of Amended by the Finance Act, 2075.fifteen days to submit evidence of clearance in relation to such assessment. Added by the Finance Act, 2081.101A. Assessment of Tax on Unexplained Assets: (1) If a matter regarding the assessment of tax on unexplained assets of any person under Section 28 of the Money Laundering Prevention Act, 2064 is referred to the Department, the Department shall, subject to that section, investigate whether or not a tax offense has been committed. (2) If, during the investigation under sub-section (1), no tax offense is found, income tax at the maximum rate applicable to the income of that year shall be recovered from such person. 102.

Notice of Assessment: The Department shall provide a written notice of the assessment made under sub-section (2) of Section 100 or under Section 101 to the person assessed, specifying the following particulars:- (a) The assessed tax payable and remaining to be paid by the person referred to in clauses (a) and (b) of Section 3 for the income year or period to which the assessment relates, (b) The method by which the tax was calculated in the assessment referred to in clause (a), (c) The reasons why the Department deemed it necessary to make the assessment, (d) The time within which the assessed tax remaining to be paid must be deposited, and (e) The time, place, and manner for filing an objection if dissatisfied with the assessment. Chapter 20 Collection, Waiver, and Refund of Tax 103. Security for Tax to be Deducted and Deposited: (1) The person required to deduct tax at source shall give priority to the tax to be deducted under

Chapter 17 over any payments required to be made by court order, any other law, or in any other manner. (2) Regarding the tax deducted under Chapter 17 by a person required to deduct tax at source, the following shall apply:- (a) The tax deducted by such person, and any property received in lieu thereof, shall be deemed to be held in lien for the Government of Nepal, (b) The amount of tax so deducted shall not be attached to the debts or liabilities of such person, and (c) In the event of bankruptcy or dissolution of such person required to deduct tax at source, the amount of tax so deducted shall not be considered part of the assets of the dissolved or bankrupt entity, and upon distribution following such dissolution or bankruptcy, the Department shall have the first claim on the deducted tax or that property. 104.

Claim on Property: (1) Notwithstanding anything contained in the prevailing law, if any person fails to deposit tax by the due date, a claim of the Government of Nepal shall be deemed to have arisen on the property of the person who is in tax arrears. (2) When making a claim on property under sub-section (1), the Department must provide a written notice to the person specifying the following:- (a) Description of the property claimed, (b) The extent of the claim as referred to in sub-section (3), (c) The tax related to such claim, and (d) Any other matter, if any. (3) When making a claim on property under sub-section (2), the claim shall arise only to the extent of the tax payable by such person, the interest payable on such tax under Section 119, and the expenses incurred in making the claim and conducting the auction sale. (4) A claim made under sub-section (2) shall not be effective until the following actions have been taken:- (a) In the case of buildings and land, until the Department has given notice to register the claim under sub-section (6), (b) In the case of other tangible property, until the Department has taken possession of such property under sub-section (3) of Section 105, and (c) In any other case, until the notice under sub-section (2) has been given to the person in tax arrears. (5) If the person in tax arrears pays the entire amount under sub-section (3) covered by the claim made under sub-section (2) to the Department, the claimed property shall be released. (6) If the Department makes a claim on any land, property, or building under sub-section (2), it shall inform the concerned Land Revenue Office, and that Office shall attach such land, property, or building so that it is not sold or transferred to anyone. (7) If a claim on land, property, or building is to be released under sub-section (5), the Department shall notify the Land Revenue Office accordingly. Upon receiving such notification, the Land Revenue Office shall release the attached land, property, or building. (8) Regarding the expenses incurred under sub-section (3), the Department shall, as soon as possible, notify the person in tax arrears specifying the following:- (a) The expenses incurred by the Department in relation to the claim and auction sale of the property of the person in tax arrears prior to giving such notice, and (b) The date by which such expenses must be paid to the Department by the person in tax arrears.

Explanation: For the purposes of this section, "expenses incurred in making the claim and auction sale" means the expenses incurred or to be incurred by the Department as follows:-

(a) Expenses incurred or to be incurred by the Department under this section for creating or releasing a claim on such property, or

(b) Expenses incurred or to be incurred by the Department under Section 105 for taking possession, retaining, and auctioning the claimed property. 105. Auction Sale of Claimed Property: (1) The Department shall issue a notice to the person in tax arrears for the auction sale of the claimed property in the possession of such person.

(2) The notice given under sub-section (1) may be included in or attached to the notice given under sub-section (2) of Section 104. Such notice must clearly specify the following and be given to the person in tax arrears:-

(a) The claimed property, the manner and time of its auction or sale, and

(b) In the case of tangible property, the manner and place where the Department will take possession of such

property.

(3) After giving the notice under sub-section (1) or (2) to the person in tax arrears, the Department may:-

(a) Take possession of the tangible property mentioned in the notice at any time,
(b) Enter any premises mentioned in the notice under sub-section (1) at any time for the purpose of taking possession of tangible property, and

(c) In the case of tangible property other than land, property, or buildings, store such property at any place the Department deems appropriate at the expense of the person in tax arrears.

(4) If the Department has given notice under sub-section (1) to the person in tax arrears, it may sell such claimed property by public auction or sell or dispose of such property in any manner it deems appropriate at the following times:-

(a) If the claimed property is land, property, or a building, after thirty days from the date of taking possession under sub-section (3),

(b) If the claimed property is perishable tangible property, after one day from the date of taking possession under sub-section (3),

(c) If the claimed property is tangible property other than that referred to in clause (a) or (b), after ten days from the date of taking possession under sub-section (3), and

(d) If the property is of any other type, after ten days from the date of taking possession under sub-section (3).

(5) From the proceeds of the auction sale under sub-section (4), the expenses incurred in making the claim and auction sale of the property sold shall be deducted first.

After such deduction, the tax payable and the interest payable on such tax under Section 119 shall be deducted. If any amount remains thereafter, such amount shall be refunded to the person in tax arrears.

(6) After adjusting the proceeds from the auction sale under sub-section (5), the Department shall give a written notice to the person in tax arrears detailing the adjustment process.

(7) If, after applying the process under sub-section (5) to adjust the proceeds from the auction sale, the amount is insufficient to fully pay the expenses, tax, and interest referred to in that sub-section, the Department shall initiate proceedings again under Section 104, 111, or this section to recover the remaining amount. Explanation: For the purposes of this section,-

(a) "Claimed property" means the property of the person in tax arrears referred to in sub-section (2) of Section 103 or sub-section (2) of Section 104 by the person required to deduct tax at source.

(b) "Expenses incurred in making the claim and auction sale" means the expenses incurred in making the claim and auction sale under Section 104.

(c) "Person in tax arrears" means the person required to deduct tax at source as referred to in Sections 103 and 104. 106. Restriction on Leaving Nepal: Omitted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. (1) If any person fails to deposit tax by the due date, Amended by the Finance Act, 2075. the Department may, by giving written notice to the concerned office of the Government of Nepal, order to prevent such person from leaving the country for up to 72 hours from the date of payment, for the period of notice given to deposit the tax.

(2) If the time limit referred to in sub-section (1) needs to be extended, the Department must obtain prior approval from the concerned High Court.

(3) If the person under sub-section (1) deposits the tax, or if the Department is satisfied that satisfactory arrangements have been made for the deposit of the tax, the Department may withdraw such order by giving notice to the concerned office under sub-section (1). 107.

Liability of Officers of an Entity: (1) If any entity fails to comply with any requirement under this Act, every

person acting as an officer of that entity at that time shall be held responsible therefor. (2) If an entity commits an offense by failing to pay tax by the due date, every officer who is currently serving or was in office up to six months prior shall be jointly or severally liable to pay such tax. (3) Notwithstanding anything contained in sub-sections (1) and (2), these sub-sections shall not apply in the following circumstances:- (a) Where the entity committed such offense without the knowledge or consent of such person, and (b) Where such person had taken or applied the same degree of care, diligence, and skill that a person of ordinary prudence would have taken in similar circumstances to prevent such offense. (4) If any person pays tax under sub-section (2), such person may:- (a) Recover the amount so paid from the entity, (b) For the purpose of clause (a), retain in his possession any property, including money, of the entity that is in or may come into his possession, up to an amount not exceeding the amount so paid. (5) If any person takes possession of any property under clause (b) of sub-section (4), no claim shall lie against such person by the entity or any other person. Explanation: For the purposes of this section, "officer of any entity" means the manager of that entity or any person acting in that capacity. 108.

Recovery of Tax from Receiver: (1) Every receiver shall, within fifteen days from whichever is earlier of the date of appointment as receiver or the date of taking possession of any property in Nepal, notify the Department in writing of that fact. (2) The Department shall give a written notice to the receiver regarding the amount to be deposited by the person in tax arrears. (3) After receiving the notice under sub-section (2), the receiver shall:- (a) Sell the necessary portion of the property in his possession and, from the proceeds, after paying any debt having priority over the tax to be deposited under sub-section (2) and subject to clause (c) of sub-section (2) of Section 103, set aside the amount notified by the Department under that sub-section, and (b) Deposit the amount so set aside with the Department on behalf of the person in tax arrears towards his tax liability. (4) To the extent that the receiver has failed to set aside any amount under sub-section (3), the receiver shall have a personal liability to deposit with the Department an amount equal to the tax liability payable on behalf of the person in tax arrears. Provided that the receiver may recover the amount so deposited from the person in tax arrears. Explanation: For the purposes of this section,- (a) "Receiver" means any of the following persons:- (1) Liquidator, (2) A person appointed, whether out of court or by a court, as receiver of any property or entity, (3) A person who takes possession of property under a mortgage, (4) The direct heir, administrator, or representative of the estate of a deceased natural person, or (5) Any person acting on behalf of an incapacitated natural person. (b) "Person in tax arrears" means the person whose property has come into the possession of the receiver. 109.

Recovery of Tax from Persons Liable to Pay Amounts: (1) If a person in tax arrears fails to pay the tax by the due date and remains in default, the Department may, by written notice to any of the following payers, order the deposit in the Department of an amount up to the tax payable on behalf of the person in tax arrears, within the date specified in the notice:- (a) A person who is liable to pay money to the person in tax arrears, (b) A person who holds money for or on behalf of the person in tax arrears, (c) A person who holds money on behalf of any third party to be paid to the person in tax arrears, or (d) A person authorized by a third party to pay such money to the person in tax arrears. (2) The Department shall give a copy of the notice given to the payer under sub-section (1) to the person in tax arrears. (3) Notwithstanding anything contained in sub-section (1), the date specified in the notice under that sub-section shall not be earlier than the dates referred to in clauses (a) and (b):- (a) The date on which such money is payable to the person in tax arrears or the date on which such money is held on his behalf, and (b) The date on which notice was given under sub-section (2). (4) The amount deposited by the payer under sub-section (1) shall be deemed to be a payment made to the person in tax arrears. Such amount shall not be claimed from the payer by the person in tax arrears or any other person. 110.

Recovery of Tax from Agent of Non-Resident Person: (1) If a non-resident person who is in tax arrears fails to pay tax by the due date and remains in default, the Department may, by written notice to any person holding any property owned by such person in tax arrears, order the payment of tax on behalf of the person in tax arrears from an amount equal to the market value of such property, but not exceeding the tax payable by such person, within the date specified in the notice, in relation to the tax liability of such third party. (2) If any person pays the tax amount in accordance with the order under sub-section (1), such person may:- (a) Recover the amount of such payment from the person in tax arrears, (b) For the purpose of clause (a), take possession of any property, including money, of the person in tax arrears that is in or may come into his possession, up to an amount not exceeding the amount so paid. (3) If any person takes possession of any property under clause (b) of sub-section (2), no claim shall lie against such person by the person in tax arrears or any other person. 110A. Recovery of Arrears Tax in Installments: Added by the Finance Act, 2075. Before instituting a case under Section 111, if any person makes a written request to pay the arrears amount in installments, the Tax Officer may, for reasonable reasons, approve the payment in installments by granting a reasonable period. 110B. Liability for Tax Payment of Joint Venture: Added by the Finance Act, 2075. Persons involved in a joint venture shall be jointly or severally liable for the payment of the tax liability of the joint venture in which they are involved. 110C. Person Receiving Actual Benefit Liable for Tax Payment: Added by the Finance Act, 2076. If it is proven that the person receiving the actual benefit of a business is different from the person in whose name the business is registered, the liability to pay the tax of such business shall be of the person receiving such benefit. 111. Instituting Case for Non-Payment of Tax: The Department may file a case in the concerned District Court for recovery of tax from a person who fails to deposit tax within the due date. 112.

Waiver: (1) If the tax payable by any person is irrecoverable, the Government of Nepal may grant a partial or full waiver of such tax. (2) Notwithstanding anything contained in sub-section (1), the Government of Nepal may grant a full or partial waiver of the fees and interest imposed under Chapter 22. 113. Tax Refund and Adjustment: (1) If any person has paid tax in excess of his tax liability, the Department may direct that the excess tax amount be deducted from the tax payable by him under this Act. Any balance remaining after such deduction shall be refunded to the concerned person by the Department. (2) If any person does not need to pay the tax relating to the interest deposited under Section 119, the Department shall refund such interest to the person. Amended by the Finance Act, 2075.(3) If any person applies to the Department in the prescribed manner for a refund under sub-section (1), the Department shall refund such amount within sixty days from the date of application. (4) A person applying under sub-section (3) must submit such application within two years from the latest of the following dates. If no application is made within that period, the amount under sub-section (1) shall not be refunded:- (a) The date of expiry of the income year giving rise to the overpayment, (b) The date on which the overpayment was made, or (c) The date of the court verdict. (5) The Department shall give a written notice of its decision regarding the application filed under sub-section (3) to the concerned person. (6) When the Department refunds any tax amount to any person by court order or otherwise, the Department shall also pay interest at the ordinary rate for the following period:- (a) If such tax refund relates to the adjustment of excess tax available to any person under Section 93, 94, or 100 for any income year, the period from the date on which the income return was required to be filed under Section 96 to the date of refund, and (b) In any other case, the period from the date on which such person paid the tax to be refunded to the date of refund. (7) Tax credits claimable under Section 51 or 71 for any income year shall not be adjusted or refunded under this sub-section.

Provided that tax credits for that year may be adjusted in accordance with the provisions made in sub-section (2) of Section 4, sub-section (4) of Section 51, and sub-section (3) of Section 71. Omitted by the Finance Act,

Chapter 21

Review and Appeal

114. Decisions Subject to Administrative Review and Procedure: (1) For the purposes of this Act, the following decisions shall be subject to administrative review:-

- (a) An advance ruling issued by the Department under Section 76,
Added by the Finance Act, 2075.(a1) A decision made or order given under sub-section (8) of Section 90,
- (b) An estimate made by the Department regarding the estimated tax to be deposited by any person, or a decision made for the purpose of estimation, under sub-section (7) of Section 95,
- (c) A decision made by the Department to order any person to submit an income return under sub-section (5) of Section 96 or under Section 97,
- (d) A decision made by the Department on an application for extension of time to file an income return under Section 98 by any person,
- (e) An assessment of tax payable by any person for any income year under Section 100 or 101, or the determination of auction sale expenses under sub-section (5) of Section 105, or the determination of fees and interest payable by any person under Section 122,
- (f) A notice given by the Department to a person in the capacity of a receiver under sub-section (2) of Section 108 to set aside an amount as receivable,
- (g) A decision made by the Department under sub-section (1) of Section 109 ordering any person holding amounts payable to a person in tax arrears to deposit such amounts with the Department,
- (h) A decision made by the Department under sub-section (1) of Section 110 ordering any person to deposit tax on behalf of a non-resident person,
- (i) A decision made by the Department on an application filed by any person for a tax refund under sub-section (5) of Section 113, and
- (j) A decision made by the Department on an application filed by any person for extension of the time limit for filing an application under sub-section (3) of Section 115.

(2) If the Department has made a decision regarding matters referred to in clauses (d), (i), and (j) of sub-section (1), but fails to notify the applicant of the decision within thirty days of receiving the application under Section 98, sub-section (3) of Section 113, or sub-section (3) of Section 115, it shall be deemed to be a decision to reject the application, and such decision shall be subject to administrative review under sub-section (1).

(3) If the notice of decision under sub-section (2) is not received by the applicant within the prescribed time, and the applicant registers such information with the Department, the Department shall be deemed to have made the decision to reject the application referred to in that sub-section and to have given notice thereof to the person on that date.

115. Application for Administrative Review: (1) A person dissatisfied with a decision subject to administrative review under Section 114 may file an application against such decision with the Department within thirty days from the date of receiving the notice of such decision.

(2) An application under sub-section (1) must clearly state the reasons and grounds for such review.

(3) If the time limit for filing an application under sub-section (1) has expired, and any person files an application for extension within seven days from the date of expiry, the Department may:-

- (a) If reasonable cause is shown, extend the time limit for filing an application under sub-section (1) for up to thirty days from the date of expiry, and

(b) Give a written notice of its decision on such application to the applicant.

(4) The filing of an application under sub-section (1) shall not be deemed to affect the implementation of the decision referred to in sub-section (1) of Section 114.

(5) Notwithstanding anything contained in sub-section (4), the Department may stay or otherwise affect the operation of the decision made under sub-section (1) of Section 114 until the application filed by any person under sub-section (1) is disposed of. Amended by the Finance Act, 2076.(6) A person filing an application under sub-section (1) must pay the entire amount of the undisputed tax out of the assessed tax amount and Amended by the Finance Act, 2076.one-fourth of the disputed tax amount.

(7) Regarding an application filed under sub-section (1), the Department may:-

(a) Accept or reject the matters stated in the application in full or in part, and

(b) Give a written notice of its decision on the application to the person. Added by the Finance Act, 2076.(8) If the Department fails to give notice of its decision on the application to the applicant within sixty days from the date of filing the application under sub-section (1), the applicant may appeal to the Revenue Tribunal under Section 116. Added by the Finance Act, 2076.(9) If an appeal is filed under sub-section (8), such person shall, within fifteen days from the date of filing the appeal, give written information to the Department attaching a copy of the appeal petition. 116.

Appeal to Revenue Tribunal: (1) A person dissatisfied with the decision on an application filed with the Department under Section 115 may file an appeal to the Revenue Tribunal in accordance with the Revenue Tribunal Act, 2031. (2) A person filing an appeal under sub-section (1) shall, within fifteen days of filing the appeal, register a copy of the notice of appeal with the Department. (3) The filing of an appeal under sub-section (1) shall not be deemed to affect the implementation of the decision referred to in sub-section (1) of Section 114. (4) Notwithstanding anything contained in sub-section (1) of Section 114, if the decision subject to administrative review in that sub-section is made by the Director General, an appeal shall lie to the Revenue Tribunal. Added by the Finance Act, 2078.(5) When filing an appeal to the Revenue Tribunal under sub-section (1), the undisputed amount of the assessed tax must be paid, and security deposit or bank guarantee for fifty percent of the disputed tax amount, fees, and penalties must be provided. Added by the Finance Act, 2079.(6) When calculating the deposit amount or bank guarantee under sub-section (5), the twenty-five percent tax amount deposited for administrative review with the Inland Revenue Department shall also be calculated. Added by the Finance Act, 2079.(7) A bank voucher deposited in the deposit account at the Treasury and Comptroller Office in the name of the concerned office, or a bank guarantee for an equivalent amount, must be submitted along with the appeal petition under sub-section (5). Chapter 22 Fees and Interest 117.

Fee for Not Maintaining Records or Not Filing Returns or Income Returns: Amended by the Finance Act, 2075.(1) If any person fails to file the following returns, the following fees shall be levied on such person:- (a) If an income return for any income year is not filed under sub-section (1) of Section 95, Amended by the Finance Act, 2077.a fee of five thousand rupees or an amount equal to zero point zero one percent of the assessable income amount mentioned in the income return, whichever is higher, per return, (b) If any person required to collect advance tax fails to file a return under Amended by the Finance Act, 2077.sub-section (9) of Section 95A., a fee of one and a half percent per annum of the amount required to be collected as advance tax, for each month and part of a month from the date the return was due to the date the return is filed, (c) If an income return for any income year is not filed under sub-section (1) of Section 96, in the case of a person referred to in sub-section (4) of Section 4 of this Act, Amended by the Finance Act, 2081.a fee of twelve hundred rupees per return, and if the period is less than one year, at the rate of one hundred rupees per month, and in the case of other persons, a fee at the rate of zero point one percent per annum of the

assessable income, calculated without deducting any amounts that could be deducted and including any amounts that should be included, or Amended by the Finance Act, 2081. a fee of twelve hundred rupees per return, and if the period is less than one year, at the rate of one hundred rupees per month, whichever is higher.

Added by the Finance Act, 2082. (d) If an income return for any income year is not filed under sub-section (2) of Section 97, a fee at the rate of zero point one percent per annum of the amount arrived at after deducting income subject to final deduction from the assessable income of such person, or a fee of twelve hundred rupees per return, and if the period is less than one year, at the rate of one hundred rupees per month, whichever is higher.

(2) If any person fails to maintain records required to be maintained under Section 81 for any income year, such person shall be liable to a fee of an amount equal to zero point one percent of the assessable income, calculated without deducting any amounts that could be deducted and including any amounts that should be included, or one thousand rupees, whichever is higher, for the year for which the records were not maintained.

(3) If any agent required to deduct tax at source fails to file a return under sub-section (1) of Section 90, such agent shall be liable to a fee of an amount equal to two point five percent per annum of the tax amount required to be deducted, for each month and part of a month from the date the return was due to the date such return is filed. 118.

Interest for Under-Payment of Estimated Tax by Installment Payers: (1) If, for any income year, the amount referred to in clause (b) exceeds the amount referred to in clause (a) in respect of the installment amount to be deposited under Section 94 by any person, interest shall be charged on such excess amount in accordance with sub-section (2):- (a) The amount of each installment paid by such person in that income year, (b) The amount that would have been payable as an installment for each installment period if the estimate or revised estimate of the total amount to be paid by installments for that income year were correct, and if not correct, ninety percent of the amount payable as an installment for each installment period of the tax amount required to be deposited by the person referred to in clauses (a) and (b) of Section 3. (2) A person under sub-section (1) shall be charged interest at the ordinary rate for each month and part of a month from the due date of that installment for that year until the following period:- (a) In the case of a person whose tax is assessed under sub-section (1) of Section 99, until the date on which the income return was due, (b) In the case of a person whose first revised assessment under Section 101 is made by the Department due to non-assessment under sub-section (1) of Section 99, until the date of delivery of the notice of such revised assessment under Section 102. Explanation: For the purposes of this section, "amount payable by installments" means, in the case of a person who has submitted an estimate once and does not submit a revised estimate, and in the case where the Department has made an estimate under sub-section (7) of Section 95 due to failure to submit an estimate, the installment amount calculated under sub-section (1) of Section 94, and in the case of a person who submits a revised estimate, and where the Department, not satisfied with the estimate or revised estimate submitted, makes an estimate under sub-section (7) of Section 95, the installment amount calculated in accordance with the provisions of sub-section (5) of Section 95. 119.

Interest for Non-Payment of Tax: (1) If any person fails to deposit tax by the specified due date, interest at the ordinary rate for each month and part of a month shall be charged on the outstanding amount for the entire period during which the tax remains unpaid. (2) For the purpose of calculating the interest payable under sub-section (1), no interest exemption shall be allowed for the extended period granted under Section 98.

Amended by the Finance Act, 2075. (3) The interest payable by a person required to collect advance tax

under sub-section (8) of Section 95A., or by a person required to deduct tax at source under sub-section (4) of Section 90, due to non-compliance, shall not be recoverable by such person from the person from whom the advance tax was to be collected or the tax was to be deducted. Added by the Finance Act, 2075.(4) If tax is not paid within the period granted under Section 110A., additional interest at the rate of five percent per annum shall be levied on the outstanding tax and recovered from such person. Amended by the Finance Act, 2081.119A. Fee Levy: (1) If a taxpayer, whether approved or not approved to issue electronic invoices under sub-section (4) of Section 81, is found using software that can delete or alter data, a fee of five hundred thousand rupees shall be levied.

(2) If a person manufacturing, installing, or operating electronic invoice software or equipment under sub-section (4) of Section 81 fails to comply with the procedure issued by the Department, a fee of five hundred thousand rupees shall be levied.

(3) In case of violation of Section 81A., a fee of

129. Department may order to deposit penalty amount: (1) Notwithstanding anything contained elsewhere in this Chapter, if any person, prior to the initiation of court proceedings, admits in writing that he/she has committed any one or more than one offence mentioned in this Chapter other than the offence referred to in Section 126, the Department may order such person to deposit a penalty amount not exceeding the penalty amount leviable for such one or more than one offence.

(2) While issuing an order pursuant to sub-section (1), the Department shall mention in such order the nature of such offence, the penalty amount to be paid, and the date by which the penalty amount must be paid.

(3) An order issued by the Department pursuant to this section shall be final and no appeal shall lie against it.

130. Government of Nepal to be plaintiff: The case under this Chapter shall be instituted by the Government of Nepal as the plaintiff. 131. Investigation and filing of case: (1) The investigation of a case relating to an offence punishable under this Chapter shall be conducted by the designated officer, and the case shall be filed in the concerned District Court within thirty-five days of the completion of such investigation.

(2) While conducting an investigation pursuant to sub-section (1), the investigating officer shall seek the opinion and advice of the government attorney. Chapter-24

Miscellaneous

132.

May avail services of expert: The Government of Nepal Amended by the Finance Act, 2075.or the Department may avail the services of a relevant expert for tax examination related work, and the provisions relating to government confidentiality mentioned in Section 84 shall also apply to such expert. 133. Departmental action to be taken: If it is determined that any tax assessment was made negligently, resulting in an increase or decrease in the taxpayer's liability, the Director General may initiate departmental action against the concerned officer who made such assessment or failed to make a revised assessment within the period under sub-section (3) of Section 101, punishable according to the prevailing law relating to his/her service conditions. 134. Identity card of officer: Every officer shall carry an identity card as prescribed, and shall show such identity card to any person who requests to see it in the course of the performance of duty. 135. Powers akin to those of a court: For the purposes of this Act, the Department shall have powers akin to those of a court under the prevailing law in relation to summoning concerned persons, taking statements, examining evidence, and requiring the production of documents. 136. Not liable for acts done in good faith: Notwithstanding anything contained elsewhere in this Act, an officer shall not be personally liable for any act

done in good faith in the discharge of his/her duty. 136A. Provision of reward and informer expense: (1) If any person provides information with evidence that a person has evaded or attempted to evade all or part of his/her tax liability, a reward equal to twenty percent of the amount of tax determined based on the evidence submitted by him/her, out of the tax recovered on the basis of such information, may be granted to such person by the decision of the Director General. (2) If there is more than one person entitled to the reward under sub-section (1), the reward amount shall be distributed proportionately. (3) Notwithstanding anything contained in sub-section (1), a person providing information about revenue leakage may be given an informer expense up to ten thousand rupees immediately, based on the veracity of the information, according to the procedure prescribed by the Department. (4) The name, surname, and address of the person providing information under sub-sections (1) and (3) shall be kept confidential. 137. Government of Nepal may issue orders or directives: The Government of Nepal may issue necessary orders or directives to the Department to make tax administration effective. 138. Power to make rules: The Government of Nepal may make necessary rules for the implementation of the objectives of this Act. 139.

143. Repeal, amendment and saving: (1) The Income Tax Act, 2031 and the House and Land Rent Tax Act, 2023 are hereby repealed.

(2) The following Acts are amended as follows: -

(a) Removed by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066

(b) Amendment to the Employee Provident Fund Act, 2019: In clause (b) of Section 18 of the Employee Provident Fund Act, 2019, the words "no tax of any kind shall be levied" are replaced by the words "no tax of any kind other than income tax shall be levied".

(c) Amendment to the Nepal Petroleum Act, 2040: Clause (c) of Section 13 of the Nepal Petroleum Act, 2040 is hereby omitted.

(d) Amendment to Section 29 of the Pension Fund Act, 2042: In Section 29 of the Pension Fund Act, 2042, the words "and no other tax of any kind shall be levied" are replaced by the words "no other tax of any kind other than income tax shall be levied".

(e) Amendment to Section 51 of the Citizen Investment Trust Act, 2047: Section 51 of the Citizen Investment Trust Act, 2047 is hereby repealed.

(f) Amendment to Section 30 of the Nepal Removed by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066 Science and Technology Academy Act, 2048: Section 30 of the Nepal Removed by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066 Science and Technology Academy Act, 2048 is hereby repealed.

(g) Amendment to the Industrial Enterprises Act, 2049:

(1) Clauses (c), (d), (e), (j), (?ha), (ta), (tha), (da) and (dha) of Section 15 of the Industrial Enterprises Act, 2049 are hereby omitted.

(2) In clause (ca), the words "in income tax, at the rate of thirty, twenty-five and twenty percent respectively for ten years from the date of operation and" are hereby omitted.

(h) Amendment to the Foreign Investment and Technology Transfer Act, 2049: Sub-section (1A) of Section 5 of the Foreign Investment and Technology Transfer Act, 2049 is hereby omitted.

(i) Amendment to the B. P. Koirala Institute of Health Sciences Act, 2049: In the second line of Section 21 of the B. P.

Koirala Institute of Health Sciences Act, 2049, the word "income tax" is hereby omitted. (j) Amendment to the Tribhuvan University Act, 2049: Sub-section (2) of Section 33 of the Tribhuvan University Act, 2049 is hereby omitted. (k) Amendment to Section 12 of the Electricity Act, 2049: (1) In the section heading of Section 12 of the Electricity Act, 2049, the word "income tax" is hereby omitted. (2) Sub-sections (1), (2), (3), (4), (5) and (6) are hereby omitted. (l) Amendment to Section 36 of the Pokhara University Act, 2053: Sub-section (2) of Section 36 of the Pokhara University Act, 2053 is hereby omitted. (m) Amendment to Section 18 of the B.P. Koirala Memorial Cancer Hospital Act, 2053: In sub-section (1) of Section 18 of the B.P. Koirala Memorial Cancer Hospital Act, 2053, the word "income tax" is hereby omitted. (n) Amendment to the Urban Development Fund Act, 2053: Section 24 of the Urban Development Fund Act, 2053 is hereby repealed. (o) Sub-section (1) of Section 34 of the Telecommunications Act, 2053 is hereby repealed. (3) All acts and actions done under the Acts or Sections of Acts repealed or amended pursuant to sub-section (1) or (2) shall be deemed to have been done under this Act. (4) With respect to provisions relating to the assessment and collection of income tax for income years prior to the commencement of this Act, the provisions of the Income Tax Act, 2031 shall apply. Schedule-1 (Relating to Section 4) Tax Rates 1.

In respect of a natural person: Amended by the Finance Act, 2079.(1) Tax shall be levied at the following rates on the taxable income of a resident natural person for any income year, subject to sub-sections (2), (4) and (4A) of this Schedule: - (a) One percent, if the taxable income from employment is up to five hundred thousand rupees, Added by the Finance Act, 2080. Provided that, in the case of a taxpayer registered as a sole proprietorship firm, income from pension, income of a natural person contributing to a pension fund and a contributory social security fund shall not be subject to tax under this clause. (b) Where the taxable income exceeds five hundred thousand rupees but does not exceed seven hundred thousand rupees, five thousand rupees on the first five hundred thousand rupees as per clause (a) and ten percent on the taxable income exceeding five hundred thousand rupees, (c) Where the taxable income exceeds seven hundred thousand rupees but does not exceed ten lakh rupees, twenty-five thousand rupees on the first seven hundred thousand rupees as per clause (b) and twenty percent on the taxable income exceeding seven hundred thousand rupees, (d) Where the taxable income exceeds ten lakh rupees but does not exceed twenty lakh rupees, eighty-five thousand rupees on the first ten lakh rupees as per clause (c) and thirty percent on the taxable income exceeding ten lakh rupees, and Amended by the Finance Act, 2080.(e) Where the taxable income exceeds twenty lakh rupees up to fifty lakh rupees, an additional twenty percent on the tax rate applicable under clause (d), and where the taxable income exceeds fifty lakh rupees, an additional thirty percent on the tax rate applicable under clause (d) on the amount of taxable income in excess thereof.

Removed by the Finance Act, 2080

Removed by the Finance Act, 2080.(2) Tax shall be levied at the following rates on the taxable income of any couple opting under Section 50 of the Act for any income year, subject to sub-sections (4) and (4A) of this Schedule: -

(a) One percent, if the taxable income from employment is up to six hundred thousand rupees,

Amended by the Finance Act, 2079. Provided that, in the case of a taxpayer registered as a sole proprietorship firm, income from pension, income of a natural person contributing to a pension fund and a contributory social security fund shall not be subject to tax under this clause.

(b) Where the taxable income exceeds six hundred thousand rupees but does not exceed eight hundred thousand rupees, six thousand rupees on the first six hundred thousand rupees as per clause (a) and ten percent on the taxable income exceeding six hundred thousand rupees,

(c) Where the taxable income exceeds eight hundred thousand rupees but does not exceed eleven lakh rupees, twenty-six thousand rupees on the first eight hundred thousand rupees as per clause (b) and twenty percent on the taxable income exceeding eight hundred thousand rupees,

(d) Where the taxable income exceeds eleven lakh rupees but does not exceed twenty lakh rupees, eighty-six thousand rupees on the first eleven lakh rupees as per clause (c) and thirty percent on the taxable income exceeding eleven lakh rupees,

Amended by the Finance Act, 2080.(e) Where the taxable income exceeds twenty lakh rupees up to fifty lakh rupees, an additional twenty percent on the tax rate applicable under clause (d), and where the taxable income exceeds fifty lakh rupees, an additional thirty percent on the tax rate applicable under clause (d) on the amount of taxable income in excess thereof. Removed by the Finance Act, 2080

Amended by the Finance Act, 2079.(3) The provisions referred to in sub-section (4) shall apply in the following circumstances: -

(a) In relation to a resident natural person, where the income for any income year exceeds five hundred thousand rupees, or in relation to a resident couple opting under Section 50 of the Act, where the income for any income year exceeds six hundred thousand rupees,

(b) The net gain from the disposal of a non-business taxable asset is included in the income of such natural person or couple and in the corresponding calculation of taxable income.

Amended by the Finance Act, 2079.(4) Subject to sub-section (3), tax shall be levied on the following persons in the following manner: -

(a) On whichever of the following amounts is higher, tax shall be levied at the rate under sub-section (1) or (2) of this Schedule, treating such amount as if it were the only taxable income of such natural person or couple:

-

(1) The amount remaining after deducting the amount of such gain from the total taxable income of such natural person or couple,

(2) Five hundred thousand rupees in the case of a natural person or six hundred thousand rupees in the case of a couple.

(b) Tax shall be levied on the remaining part of such taxable income at the rate of ten percent. Provided that,

(1) If the ownership of the disposed non-business taxable asset (land and house property) is five years or more than five years, tax shall be levied at the rate of five percent.

(2) If the ownership of the disposed non-business taxable asset (land and house property) is less than five years, tax shall be levied at the rate of seven point five percent.

(3) In the case of a gain from the disposal of an interest in an entity listed with the Nepal Securities Board, held for more than three hundred sixty days, tax shall be levied at the rate of five percent, and in the case of a gain from the disposal of an interest held for three hundred sixty days or less, tax shall be levied at the rate of seven point five percent. Added by the Finance Act, 2079.(4A) Notwithstanding anything contained elsewhere

in this section, the income of a resident natural person not engaged in operating a business, under sub-sections (6B), (6C), (6D) of Section 91A, shall be taxed at Amended by the Finance Act, 2080.five percent.

(5) In the case of a natural person working in a remote area designated by the Government of Nepal, tax under this section shall be calculated only on the amount remaining after deducting from the taxable income up to a maximum of fifty thousand rupees as prescribed as remote area allowance.

(6) In the case of an employee working in a Nepali diplomatic mission abroad, tax under this section shall be calculated only on the amount remaining after deducting seventy-five percent of the foreign allowance from the taxable income.

Amended by the Finance Act, 2076.(7) The amount of tax under sub-section (4) of Section 4 of the Act shall be as follows: -

(a) In the case of a natural person conducting business in a metropolis or sub-metropolis area, seven thousand five hundred rupees,

(b) In the case of a natural person conducting business in a municipality area, four thousand rupees,

(c) In the case of a natural person conducting business in an area other than those mentioned in clauses (a) and (b), two thousand five hundred rupees.

(8) Tax shall be levied at the rate of twenty-five percent on the taxable income of a non-resident natural person for any income year.

(9) Removed by the Finance Act, 2077. Added by the Finance Act, 2078.(9A) Notwithstanding anything contained elsewhere in this section, if a resident natural person has pension income, tax under this section shall be calculated only on the amount remaining after deducting from the taxable income an amount equal to twenty-five percent of the amount mentioned in clause (a) of sub-section (1) for a natural person or clause (a) of sub-section (2) for a couple. Provided that the limit of the amount so deducted shall not exceed the prescribed amount. Added by the Finance Act, 2075.(10) Notwithstanding anything contained elsewhere in this section, if a resident natural person is a person with disability, tax under this section shall be calculated only on the amount remaining after deducting from the taxable income an additional amount equal to fifty percent of the amount mentioned in clause (a) of sub-section (1) for such natural person or clause (a) of sub-section (2) for a couple. Added by the Finance Act, 2075.(11) Notwithstanding anything contained elsewhere in this section, if a resident natural person is a woman earning only remuneration income, there shall be a ten percent rebate in the amount of tax payable by such natural person. Added by the Finance Act, 2075.(12) Notwithstanding anything contained elsewhere in this section, if a resident natural person has taken investment insurance, tax under this section shall be calculated only on the amount remaining after deducting from the taxable income the annual premium paid for such insurance or Amended by the Finance Act, 2079.forty thousand rupees, whichever is lower. Amended by the Finance Act, 2080.(13) Notwithstanding anything contained elsewhere in this section, the following annual income tax shall be collected from rental vehicles at the time of vehicle registration or renewal through the transport management office from the owner: -

Type of Vehicle Annual Tax Payable per Vehicle

(1) Car, Jeep, Van, Micro Bus

(a) Up to 1300 cc Rs. 5,500/-

(b) From 1301 to 2000 cc Rs.

6,000/- (c) From 2001 cc to 2900 cc Rs. 6,500/- (d) From 2901 cc to 4000 cc Rs. 8,000/- (e) All above 4001 cc Rs. 9,000/- (2) Mini Truck, Mini Bus, Water Tanker Rs. 8,000/- (3) Mini Tipper Rs. 9,000/- (4) Truck, Bus Rs. 10,500/- (5) Machinery equipment like Dozer, Excavator, Loader, Roller, Crane Rs. 15,500/- (6) Oil Tanker, Gas Bullet, Tipper Rs. 15,500/- (7) Tractor Rs. 2,500/- (8) Power Tiller Rs. 2,000/- (9) Auto Rickshaw, Three Wheeler, Tempo Rs. 2,500/- (10) Electric Vehicle (a) Up to 50 kW Rs. 3,000/- (b) From 50 kW to 125 kW Rs. 4,000/- (c) From 125 kW to 200 kW Rs. 6,000/- (d) All above 200 kW Rs. 7,500/- (14) Removed by the Finance Act, 2076. (15) Removed by the Finance Act, 2076. Added by the Finance Act, 2075.(16) Notwithstanding anything contained elsewhere in this section, if a resident natural person has taken health insurance with a resident insurance company, tax under this section shall be calculated only on the amount remaining after deducting from the taxable income the annual premium paid for such insurance or twenty thousand rupees, whichever is lower. Added by the Finance Act, 2078.(16A) Notwithstanding anything contained elsewhere in this section, if a resident natural person has taken insurance on a private building owned by him/her with a resident insurance company, tax under this section shall be calculated only on the amount remaining after deducting from the taxable income the annual premium paid for such insurance or five thousand rupees, whichever is lower. Amended by the Finance Act, 2078.(17) While calculating tax on turnover amount under sub-section (4A) of Section 4 of the Act, tax under sub-section (4) of Section 4 of the Act on turnover up to thirty lakh rupees and tax at the following rates on the turnover amount exceeding that shall be levied: - (a) For a person dealing in goods with commission or value addition up to three percent, including gas, cigarettes, zero point two five percent of the turnover amount for turnover exceeding thirty lakh rupees up to fifty lakh rupees, and zero point three percent of the turnover amount for turnover exceeding fifty lakh rupees up to one crore rupees, (b) For a person conducting a business other than that mentioned in clause (a), one percent of the turnover amount for turnover exceeding thirty lakh rupees up to fifty lakh rupees, and zero point eight percent of the turnover amount for turnover exceeding fifty lakh rupees up to one crore rupees, (c) For a person conducting a service business, two percent of the turnover amount. 2.

In respect of an entity: (1) Subject to Amended by the Finance Act, 2076.sub-sections (2), (3), (5) and (7) of this section, tax shall be levied at the rate of twenty-five percent on the taxable income of any entity for any income year. (2) Tax shall be levied at the rate of thirty percent on the taxable income of any bank, financial institution, general insurance business, Added by the Finance Act, 2080.entity conducting financial transactions, or entity dealing in telecommunications and internet services, money transfer, capital market business, securities business, merchant banking business, commodity futures market, securities and commodity brokerage business, cigarettes, bidis, cigars, chewing tobacco, khaini, gutkha, pan masala, liquor, beer, or engaged in petroleum operations under the Nepal Petroleum Act, 2040, for any income year. Explanation: In the case of petroleum operations, "taxable income" shall mean the taxable income determined in accordance with the procedures specified in the petroleum agreement and this Act and the Rules made under this Act. Amended by the Finance Act, 2080.(3) If a cooperative institution registered under the Cooperatives Act, 2074 conducts business other than tax-exempt business, tax shall be levied at the following rates: - (a) Five percent if operated within a municipality area, (b) Seven percent if operated within a sub-metropolis area, (c) Ten percent if operated within a metropolis area, Provided that, in the case of a cooperative institution conducting savings and credit business, tax shall be levied at the following rates: - (1) Ten percent if operated within a municipality area, (2) Fifteen percent if operated within a sub-metropolis area, (3) Twenty percent if operated within a metropolis area. (3A) Removed by the Finance Act, 2076. Added by the Some Nepal Acts Amendment Act, 2075.(3B) Tax shall be levied at the rate of twenty percent on the taxable income of a school or college registered and operated under a public trust. (4) Added by the

Amended by the Finance Act, 2075.(5) For any income year, tax under sub-section (1) and sub-section (4) of Section 1 of this Schedule shall be levied on the taxable income of a trust of a deceased resident person or a disabled resident natural person, treating such trust as a resident natural person in the case of the person receiving the property or the trustee or such trust. (6) Tax shall be levied at the rate of five percent on the income remitted abroad by a foreign permanent establishment in Nepal of any non-resident person for any income year. (7) Tax shall be levied at the rate of five percent on the taxable income of any non-resident person in relation to the income referred to in Section 70 of the Act for any income year. Provided that, in the case of a non-resident person providing water transport, air transport or telecommunications services that do not depart from Nepal to another foreign country, tax shall be levied at the rate of two percent. Schedule-2 (Relating to Section 19) Determination of Depreciation 1.

Classification and pooling of depreciable assets: (1) The classification of depreciable assets shall be as follows: - Class Description of Asset "A" Buildings, structures and other similar constructions of a permanent nature. "B" Computers, data processing equipment, furniture, fixtures and office equipment. "C" Automobiles, buses and mini-buses. "D" Construction and excavation equipment and depreciable assets not included elsewhere, including sub-section (3) of section 17, sub-section (3) of section 18 and sub-section (3) of this Schedule. "E" Intangible assets other than depreciable assets mentioned in class "D". (2) A person shall place any depreciable asset owned and used for the purpose of earning income from a business or investment in any income year in the following pools at the time it is first owned or used, and such pools shall be considered the pools of that person's depreciable assets for that year: - (a) In relation to assets of class "A", "B", "C" or "D" owned or used by that person, depreciable assets of the same class shall be placed in the same pool with other assets of the same class. (b) In relation to depreciable assets of class "E", even if they are assets of the same class, they must be placed in separate pools. (3) The cost incurred for the exploration of natural resources, mineral extraction activities and development thereof in the course of earning income from a business shall be treated as if it were the cost incurred in purchasing an asset for the business related to that income. 2.

Depreciation expense: (1) A person may deduct, for any income year, an expense equal to the depreciation of assets in each pool calculated under sub-sections (2) and (6) of this section from the pools of depreciable assets of that person. (2) A person must calculate the depreciation deduction for assets in a pool for his/her income year using the following formula: - $A \times B$ Where: "A" means the depreciable base amount in the asset pool at the end of that income year. "B" means the depreciation rate applicable to that pool as mentioned in Section 3 of this Schedule. (3) The depreciable base amount of depreciable assets in class "A", "B", "C" or "D" at the end of any income year shall be determined by subtracting the amount in clause (c) from the sum of clauses (a) and (b) as follows: - Provided that the amount after such subtraction shall not be less than zero: - (a) The amount remaining after deducting the depreciation expense for that pool calculated under sub-sections (2) and (6) from the depreciable base amount of that pool at the end of the preceding year. (b) The expense according to Amended by the Finance Act, 2075.sub-section (5) of this Schedule or the cost added to the pool in that income year for assets added to that pool within that income year. (c) Any amount received from the disposal of any asset of that pool during that year. (4) The depreciable base amount of each depreciable asset under class "E" at the end of any income year shall be the total of the following amounts: - (a) The depreciable base amount of depreciable assets in the pool at the end of the preceding income year, and (b) The amount added under sub-section (5) to that depreciable base amount for the asset within that pool during that fiscal year. (5) The cost incurred for any depreciable asset included in any pool of

a person's depreciable assets shall be added to the depreciable base amount of the relevant pool as follows:

- (a) At the time the asset is included in the pool under Section 1 of this Schedule or at the time the cost for acquiring the asset is incurred, whichever is later, the first part shall be calculated using the following formula and added: - $A/3 \times B$ For the purposes of this clause, "A" shall have the following value for the following periods: - (i) For the period from the beginning of the income year to the end of Poush, the value shall be three, (ii) For the period from Magh to the end of Chaitra, the value shall be two, and (iii) For the period from Baisakh to the end of the income year, the value shall be one. "B" means such cost amount. (b) The remaining part of the cost shall be added in the income year following the income year in which the first part was added, provided that the pool has not been dissolved in the interim according to sub-section (2) of Section 4 of this Schedule. (6) If the depreciation expense calculated under sub-section (2) of this section from the depreciable base amount of assets in a pool of class "A", "B", "C" or "D" is less than two thousand rupees, the entire remaining amount shall be calculated as an additional depreciation expense.

3. Rate of depreciation: (1) Subject to sub-section (2), the rate of depreciation applicable for each pool mentioned in sub-section (2) of Section 2 of this Schedule shall be as follows: -

Class Rate

"A" 5 percent

"B" 25 percent

"C" 20 percent

"D" 15 percent

"E" The rate percent arrived at by dividing the cost of the asset at the time of its purchase by the useful life of the asset, rounded to the nearest half year. Amended by the Finance Act, 2077.(2) Projects referred to in sub-section (2) of Section 19 of this Act and entities referred to in Amended by the Finance Act, 2062.sub-sections (2B), (3C) and (3Tha) of Section 11 of the Act shall be entitled to an additional one-third on the depreciation rate applicable to depreciable assets mentioned in classes "A", "B", "C" and "D" mentioned in sub-section (1) of this Schedule. Added by the Finance Act, 2075.(3) A person may claim a deduction of fifty percent of the capital amount of assets capitalised for generating energy required for his/her business purpose as depreciation expense in the same year. Added by the Finance Act, 2075.(4) If a person issues bills and invoices by installing a fiscal printer and cash machine, the lump sum expense incurred for such printer and cash machine may be claimed as depreciation expense in the same year. 4. Disposal of depreciable assets: (1) While calculating the income from the disposal of depreciable asset or assets used in a business or investment in that income year, if clause (a) exceeds clause (b), the amount of such excess shall be included in that income.

(a) The incomes received from the disposal of depreciable assets of a person in any income year falling under classes "A", "B", "C" or "D" of a pool,

(b) The depreciable base amount of the pool at the end of that year under sub-section (3) of Section 2 of this Schedule, without including the income from the disposal.

(2) If a person disposes of all assets in a pool of his/her depreciable assets before the end of any income year, the pool shall be deemed to be dissolved, and the following shall apply: -

(a) If the amount of depreciation calculated according to the following formula for the assets in the pool exceeds the depreciable base amount of the pool, the person shall be deemed to have received the amount of such excess for that year.

A - B or

(b) If the amount arrived at from the calculation of depreciation according to the following formula for the assets in the pool exceeds the depreciable base amount of the pool, the person shall be allowed a deduction for that year equal to such excess. B - A

Explanation: For the purposes of this section: -

(1) "A" shall mean the incomes (incomings) received or to be received by a person from the disposal of such asset during that year.

(2) "B" shall mean the total amount of clauses (i), (ii) and (iii): -

(i) The written down value of the pool at the end of the preceding year,

(ii) The expenses (outgoings) of that year added to the depreciable base amount of the pool, and

(iii) The expenses (outgoings) to be added to the depreciable base amount of the pool in the following year under sub-section (5) of Section 2 of this Schedule.

(3) For the purposes of this Schedule, the written down value of a pool of depreciable assets at the end of any income year means the following amount: -

(a) In the case of a pool of class "A", "B", "C" or "D", the amount resulting after deducting any depreciation calculated for that year for that pool under sub-sections (2) and (6) of Section 2 of this Schedule from the depreciable base amount of that pool at the end of the preceding income year,

(b) In the case of a pool of class "E", the amount resulting after deducting all expenses allowed to that person as deductions under sub-section (1) of Section 2 of this Schedule for past income years from the depreciable base amount of that pool at the end of the preceding income year.